

Part VII — FTAI Aerospace Products: the Module Factory

Descriptive reference. Sources are cited inline and listed at the end. Takes no view.

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PART VII

FTAI Aerospace Products: the Module Factory

This Part is the fullest treatment in the primer of one business: the segment through which FTAI Aviation sells CFM56 and V2500 engines, modules and parts, and the production process it calls the Module Factory. It sets out what the segment sells in the company's own words, how a module exchange works for a customer, how exchanges and sales are priced and booked, what the related-party line called MRE (Maintenance, Repair and Exchange) Contract revenue is, how many modules were produced and what capacity was claimed at each date, where the shops are, what the segment earned, what a short seller alleged and what the company's board found, and what management has guided for 2026 and 2027. A reader who finishes it will be able to read FTAI's segment table, its module counts and its capacity statements with every term understood and every contested figure labelled.

TRANSLATION-TABLE ROWS ANSWERED

Part III §24 turned each documented demand driver into a requirement on the aftermarket. This Part answers the rows whose requirement is a shorter shop event or a serviceable module from a pool: (Part III §24, row T-8: MRO capacity shortfall and turnaround), MRO being the industry's term for maintenance, repair and overhaul, which creates the requirement for module exchanges and quick-turn visits as substitutes for full overhauls; (Part III §24, row T-1: Low CFM56 retirements), which sustains the shop-visit count the segment addresses while starving the used-material supply the Module Factory draws on; (Part III §24, row T-4: 737 MAX production cap) and (Part III §24, row T-5: Airbus delivery shortfall), which keep 737NG and A320ceo engines flying and hence needing -7B and -5B modules; (Part III §24, row T-2: GTF powder-metal groundings), the GTF being Pratt & Whitney's geared turbofan, which brings forward V2500 and -5B shop visits; (Part III §24, row T-6: Lessor extension behaviour), under which maintenance events fall inside extended terms and are paid by the incumbent airline; (Part III §24, row T-12: Higher utilisation of mature narrowbodies), which accelerates the cycle count; and (Part III §24, row T-11: Freightler conversion), which asks for green-time -7B modules for converted airframes. It also bears on (Part III §24, rows T-3, T-14: LEAP aftermarket parity / CFM56 plateau-then-decline), because the segment's stated capacity and share goal are sized against a shop-visit count that the forecasts have peaking in 2027 and 2028, and on (Part III §24, row T-13: GTF groundings easing), which would soften ceo lift demand later in the decade. It does not answer the rows on new-engine spares or LEAP shop work, which the segment does not serve.

45. What the segment sells, in FTAI's words

FTAI Aviation reports two segments. One owns and leases aircraft and engines (Part VIII §58). The other, Aerospace Products, repairs and sells engines, modules and parts. Part I §11 gave the segment a one-line definition for orientation. This section gives the company's own description, says what the company means by the words in it, and lists the products.

FORM 10-K, FORM 10-Q AND FORM 8-K

The 10-K is the annual report a US-listed company files with the Securities and Exchange Commission (SEC); the 10-Q is the quarterly report; the 8-K is the current report used for press releases and material events. FTAI's earnings releases are filed as exhibits to 8-Ks and also published on GlobeNewswire. Part X §79 carries the full treatment. [D5 §8; D10 §3]

45.1 THE FILING LANGUAGE

The annual report for 2025 describes the segment in one sentence. Aerospace Products "develops and manufactures, repairs/refurbishes, and sells aircraft engines and aftermarket components primarily for the CFM56-7B, CFM56-5B, and V2500 commercial aircraft engines. Engine, module, and parts sales are facilitated through a dedicated commercial maintenance program designed to focus on modular and parts repair and refurbishment of CFM56-7B and CFM56-5B engines". [FTAI 10-K FY2025] The programme named in that sentence is the Module Factory, which the same filing calls "a dedicated commercial maintenance program designed to focus on modular and parts repair and refurbishment" and says the company "targets assets which require maintenance repairs that can be performed through [its] proprietary Module Factory process". [FTAI 10-K FY2025]

Three words in the first sentence carry more weight than they appear to. The first is "manufactures". FTAI's filings describe the business as one that "focuses on the manufacturing and sale of new assets through the use of inventory purchased from third parties and salvaged modules and parts from generally unserviceable engines". [FTAI 10-K FY2025, via D3 §2.7] A module that FTAI has rebuilt from salvaged and purchased parts is, in the filing's framing, a manufactured product, and its sale is a product sale. The second word is "sells". The segment does not describe itself as performing maintenance for a fee on a customer's engine. It describes itself as selling engines, modules and parts. The third is "modular". The unit of the business is the module of Part I §3, not the engine and not the piece part.

The same filing explains where the material comes from. Engines in FTAI's own leasing fleet are "transferred to inventory when determined to be unserviceable for leasing purposes with the intent to tear down the asset into salvageable components that would be manufactured into new modules and parts and sold". [FTAI 10-K FY2025, via D3 §2.7] Material that FTAI does not build into modules has its own outlet: "serviceable used modules and parts are sold through an exclusive partnership responsible for the teardown, repair, marketing and sales of parts from the CFM56 engine pool". [FTAI 10-K FY2025, via D3 §2.7] The filing excerpt the research reached does not name the partner. A PR Newswire release located by title, and not read, says "AAR and FTAI Aviation extend their exclusive Serviceable Engine Products agreement, providing CFM56 engine material to the global aviation aftermarket through 2030". [PR Newswire, 2025, title only; reconciliation B-9]

The 10-K adds that the company "develops and manufactures PMA parts through a joint venture", PMA being the Parts Manufacturer Approval issued by the Federal Aviation Administration (FAA) for a replacement part made by someone other than the engine's manufacturer (Part VI §37). [FTAI 10-K FY2025; D4 §4.3] Section 52 takes that up.

45.2 WHAT MRE MEANS, AND HOW IT DIFFERS FROM MRO

The industry's generic term for maintenance work is MRO, Maintenance, Repair and Overhaul (Part I §6; Part IV §25). FTAI's name for its own offer replaces the last word.

MAINTENANCE, REPAIR AND EXCHANGE (MRE)

MRE is FTAI's name for its offer to engine owners, chosen as a contrast with the industry's MRO. Instead of restoring a customer's engine part by part while the customer waits, FTAI removes the module or engine that triggered the removal, installs a serviceable one from its inventory, tests and returns the engine, and takes the unserviceable unit as feedstock for its own production. The offer is sold as engine, module and parts sales to airlines, lessors and other shops, and to the Strategic Capital vehicles under MRE Contracts that carry stand-ready obligations (§48). The FY2025 10-K uses the phrase when it describes the Rome joint venture as created "to meet increasing demand for MRE services". [FTAI 10-K FY2025; D5 §2.2; D7 §2.4; D10 §2.4; registry C-15]

The distinction is operational, not regulatory. Both an MRO shop and FTAI hold repair-station approvals and work to the manufacturer's manual (Part I §9). The difference is in who waits and for what. In a conventional shop visit the engine's owner waits for its own engine while the shop disassembles, inspects, repairs and rebuilds it; the owner pays for parts at list and labour by the hour, or under a flight-hour agreement (Part IV §28). In an exchange the owner receives a different, already serviceable module or engine, and the wait is the time to swap and test. The owner gives up the unserviceable unit it handed over. Section 46 sets out the sequence step by step.

Two cautions about the vocabulary travel through the rest of this Part. First, the press summaries of the January 2025 short report use "MRO revenue" to describe what FTAI books, while FTAI's own filings say "engine, module, and parts sales" and "MRE Contract revenue"; the two vocabularies name the same transactions and the dispute in §54 is about how they should be classified, not about what they are called. Second, the word "core" has two meanings in this Part: the hot middle module of the engine (Part I §1) and the unserviceable unit a customer hands back in an exchange. Section 47 states the double meaning where it first bears on a price.

45.3 THE PRODUCT SET

Reading the filing language, the earnings releases and the 10-Qs together, the segment's outputs fall into six kinds. The research found no filing table that splits revenue among them. [D5 U2]

EXHIBIT 7.1 — WHAT AEROSPACE PRODUCTS SELLS: THE PRODUCT SET AS THE FILINGS AND RELEASES DESCRIBE IT

Product	What the customer receives	What FTAI receives	Where it appears in the filings	Source
Module exchange	A serviceable CFM56 module (fan and booster, core, or low-pressure turbine, in FTAI's three-module convention) installed in the customer's engine, which is tested and returned	An exchange fee plus the unserviceable module handed over	"Engine, module, and parts sales"; "Aerospace products revenue" line	FTAI 10-K FY2025; D5 §2.2–2.3
Module sale	A serviceable module outright, with no unit coming back	The cash price	Same line	D5 §2.3
Engine exchange or engine sale	A serviceable whole engine of the same type, in exchange for the customer's engine or outright	A fee plus the engine handed over, or the whole-engine price	Same line; and "MRE Contract revenue" when the buyer is a 2025 Partnership SPV	FTAI 10-Q Q2 2026; D7 §2.4
Parts	New, used serviceable or PMA parts; used modules and parts also flow through the exclusive serviceable-parts partnership	Cash	Same line	FTAI 10-K FY2025 via D3 §2.7; PR Newswire (AAR), title only
Repairs	Component repair, including accessory repair at the Bristol joint venture from 2026	Cash, or a lower cost of producing FTAI's own modules	Not separately disclosed	FTAI Q3 2025 call via Insider Monkey; FTAI 10-K FY2025
V2500 shop visits	Performance restorations of FTAI-owned V2500 engines performed in IAE's network under the five-year EngineWise agreement; the restored engines are then leased, sold or sold as material	Restored engines for FTAI's own portfolio	V2500 engines and modules are named in the MRE Contract definition	RTX (Pratt & Whitney's parent) release, 6 Jun 2024; FTAI 10-Q Q2 2026

Source: FTAI Aviation, Form 10-K for FY2025, filed 27 Feb 2026, <https://www.sec.gov/Archives/edgar/data/1590364/000162828026012940/ftai-20251231.htm> ; Form 10-Q for the quarter ended 30 Jun 2026; RTX, "IAE AG and FTAI Aviation Sign Strategic V2500 Engine Maintenance Services Agreement", 6 Jun 2024; Insider Monkey, FTAI Q3 2025 call

transcript, Oct 2025; PR Newswire, AAR–FTAI release, 2025 (title only). Compiled from D5 §2.1–2.3, D3 §2.7 and D7 §2.4. Accessed 2026-10-03.

The engine types are the two CFM56 variants of Part I §2 and the V2500 of Part I §10. The -7B is the sole engine of the Boeing 737NG; the -5B powers about six in ten A320ceo-family aircraft; the V2500 powers most of the rest. Chromalloy's October 2025 release put the -5B and -7B in-service fleet at "over 20,000 engines", one of several counts Part III §18 sets side by side. [Chromalloy release, 30 Oct 2025; reconciliation R-001] The Module Factory language in the filings names only the two CFM56 variants; the V2500 work is a different model, which §51 describes.

Who buys is less well documented than what is sold. The research identified four classes of customer: airlines operating 737NGs and A320ceos; aircraft and engine lessors, who must redeliver engines in contracted condition (Part II §13); other shops buying modules or material; and the vehicles of the Strategic Capital Initiative (SCI), which are the counterparties to the MRE Contract revenue line. [D5 §3] FTAI's own Aviation Leasing segment is an internal customer. Two customers of the segment accounted for 16% and 11% of revenue in the third quarter of 2025; their identities, and whether either is the 2025 Partnership, were not retrieved. [FTAI 10-Q Q3 2025, via D10 §4.9; D5 U17]

46. The Module Factory: how an exchange works for a customer

Part I §3.4 boxed the module exchange and the Module Factory in short form. This section is the full treatment: the sequence an exchange follows, what happens to the unit the customer hands back, what makes the flow a factory rather than a shop, and how it differs from the conventional visit of Part IV and from the engine manufacturer's own exchange offer.

46.1 THE FILING'S OWN WORDS, THEN THE FUNCTION

The Module Factory is a place, a programme and a process, and FTAI's filings use the name in all three senses. [registry C-16] The language first used in 2022, when the concept was launched with a third-party operator, and still returned by search against the FY2025 10-K, is: "The Module Factory is a dedicated commercial engine maintenance center focused on modular repair and refurbishment of CFM56-7B and CFM56-5B engines, based at Lockheed Martin Commercial Engine Solutions' 500,000 square foot facility in Montreal, Canada with a capacity for up to 300 shop visits per year". [FTAI 10-K FY2025; FTAI 10-K FY2022] That is the place. The programme is the "dedicated commercial maintenance program" of §45.1. The process is what the rest of this section describes: a production line that builds and holds serviceable modules so that an engine's maintenance becomes a swap from inventory rather than a repair to order. FTAI bought the Montréal facility outright in September 2024 (§50.1).

A conventional performance restoration, as Part I §6 and Part IV describe it, follows one sequence. The engine comes off the aircraft when its temperature margin or a life limit runs out. It waits for an induction slot. The shop disassembles it to the module or piece-part level, inspects every part, repairs or replaces what is out of limits, replaces the life-limited parts that would fall due in the next run, rebuilds the engine and runs it in a test cell. The owner waits for its own engine through all of this. Turnaround for a full CFM56 overhaul was 90 to 120 days in 2025 against about 60 before the pandemic, GE's shops report "sustaining ~90 days", a consultancy blog gives 75 to 90 days for a restoration and 120 to 150 for a heavy visit with life-limited parts, and the wait for a slot before any of that begins had grown by two to three months and in some cases six. [Aviation Business News, 2025; GE Aerospace, 27 May 2026; Safe Fly Aviation, consultancy blog, 2026; Bain, 2024; reconciliation R-019]

The Module Factory inverts the order of the work. FTAI does the disassembly, inspection, repair and rebuilding before any customer engine arrives, on its own schedule, and holds the finished modules in inventory. When a customer engine arrives, the module that triggered the removal is taken off and a serviceable module from inventory is bolted on. The engine is tested and returned. The removed module then joins FTAI's production flow and becomes, in time, a serviceable module for a later customer. [D5 §2.2] The company's own description of the consequence is that "modules produced" is the quantity it reports each quarter, the way a factory reports units (§49). [FTAI Q2 2025 release, 29 Jul 2025; FTAI Q4 2025 call via Motley Fool, 26 Feb 2026]

46.2 THE SEQUENCE, STEP BY STEP

EXHIBIT 7.2 — ONE MODULE EXCHANGE, FROM REMOVAL TO RETURN: WHAT MOVES, WHO HOLDS IT, AND WHAT THE RESEARCH COULD AND COULD NOT SOURCE

Step	What happens	Who holds the engine or module	Sourced	Not retrieved
1. Removal	The engine comes off wing because its exhaust-gas temperature (EGT) margin is exhausted, a life-limited part is at its limit, or a hardware event forces it (Part I §5–§6)	The operator	The three removal drivers (Part I)	Which driver FTAI's exchanges most often answer

Step	What happens	Who holds the engine or module	Sourced	Not retrieved
2. Dispatch	The operator sends the engine, or in some arrangements the unserviceable module alone, to an FTAI shop	In transit to FTAI	"the engine (or, in some arrangements, the unserviceable module alone)" (D5 §2.2)	Whether FTAI ships modules to the customer's own shop instead
3. Split	The engine is separated at the major-module flanges and the expired module is removed	FTAI	The flange-split design (Part I §3)	FTAI's labour hours per exchange
4. Fit	A serviceable module of compatible build standard and documented life-limited-part status is installed from inventory	FTAI	Build-standard and records conditions (Part I §3.3)	FTAI's configuration-management practice; how remaining life is matched to the customer's planned run
5. Test	The rebuilt engine is run in a test cell; capacity quoted as >500 then >600 engine tests a year	FTAI	Test capacity (FTAI releases, 9 Sep 2024 and 26 Feb 2025)	Whether every module change requires a test-cell run under the shop manual (D1 U14)
6. Return	The engine goes back to the operator with one or more different serviceable modules, or a different engine of the same type is supplied	The operator	"the same engine with one or more different, serviceable modules installed, or a different engine of the same type" (D5 §2.2)	FTAI's quoted turnaround (D5 U3)
7. Settlement	The operator pays an exchange fee and gives up the unserviceable module; FTAI books revenue as the fee plus the fair value of the unit received (§47)	Title to the old module passes to FTAI	The industry price structure (D2 §2.5; D3 §2.7)	FTAI's exchange fee or price list (cluster K-01)

Step	What happens	Who holds the engine or module	Sourced	Not retrieved
8. Feedstock	The returned module is torn down, its repairable parts repaired, its expired life-limited parts replaced, its serviceable parts retained or sold as used material; the rebuilt module returns to inventory	FTAI	10-K language on teardown into "salvageable components ... manufactured into new modules"	Yield per returned module; share of parts scrapped

Source: FTAI 10-K FY2025 (via D3 §2.7 and D5 §2.2); FTAI releases of 9 Sep 2024 and 26 Feb 2025 (GlobeNewswire); D2 §2.5; D3 §2.7; D1 §2.3 and U14; D5 §2.2 and U3. Reconciliation cluster K-01.

Step 4 is where Part I's conditions for a module to move bear directly on the business. A module from inventory can go onto a customer's engine only if the two are at compatible build standards, if the module's records are complete for every life-limited part inside it, and if the part numbers match the receiving engine (Part I §3.3). The -5B and -7B share enough core hardware that used-parts dealers advertise one "CFM56-5B & -7B Core LLP Package", which is what lets a pool built for one variant draw on the other. [Aviation Fleet Support, undated listing, via Part I §3.3; D1 U2] How FTAI manages configuration across a pool of hundreds of modules, and how it matches the remaining life in an inventory module to the run a customer plans, were not retrieved. The industry's pricing convention, in which the fee is adjusted for the difference in life-limited-part life between the module handed over and the module received, implies that a mismatch is settled in price rather than avoided (§47). [D2 §2.5; D3 §2.7]

Step 5 produces one of the few numerical cross-checks the research allows. FTAI quotes test capacity in engine tests a year beside module capacity: 1,350 module overhauls and more than 500 engine tests at the September 2024 closing, and 1,800 modules and more than 600 tests after Rome was added in February 2025. [FTAI releases, 9 Sep 2024 and 26 Feb 2025] The ratio of modules to tests is 2.7 at the first date and 3.0 at the second, which is consistent with the three-modules-per-engine convention FTAI's releases use (Part I §3.2; reconciliation B-3) and with one test per engine returned. That is an observation about the company's own figures, not a disclosed rule; whether every exchange is tested was not verified. [D1 U14]

46.3 WHAT HAPPENS TO THE UNIT THE CUSTOMER HANDS BACK

The second meaning of "core" enters at step 7. In the trade an exchange is priced as a fee plus the core, the unserviceable module the customer hands over, which has value to the exchanger as

feedstock. [D5 §2.3; registry C-6] Part I §3.3 glossed feedstock in its narrow sense, the aircraft and engines bought to be torn down, and said later Parts would extend it. This Part extends it to the returned core and to engine inventory held for module production, which is how FTAI's filings use the material. [registry C-14]

A returned module is an engine section in miniature, and FTAI treats it the way Part V §32 describes a teardown. Its repairable parts are repaired, in FTAI's own shops, at specialist repair vendors (Part IV §29), from 2026 at the Bristol accessories joint venture (§50.6), and under the component-repair element of the January 2026 agreement with CFM (§52). Its expired life-limited parts are replaced, either with new parts from CFM at catalogue price or with used packages carrying the cycles a buyer needs (Part I §4; Part V §34). Its parts with remaining life are retained as used serviceable material for FTAI's own builds or sold through the exclusive serviceable-parts partnership of §45.1. The rebuilt module returns to inventory. [FTAI 10-K FY2025, via D3 §2.7; D5 §2.2] Material comes into this flow from four directions at once: customer cores from exchanges, engines retired from FTAI's own leasing fleet, engines on the aircraft the Strategic Capital vehicles own, and engines or aircraft bought for the purpose, such as the ten off-lease 737-700s acquired from WestJet in September 2026 "to expand the Company's supply of CFM56-7B engines and modules available to its Maintenance, Repair and Exchange customers". [FTAI release, 28 Sep 2026, via D6 §4.7; D5 §5]

WHY THE EXCHANGE TURNS MAINTENANCE INTO PRODUCTION

Three things change when the module, not the engine, is the unit of work, and FTAI does the work before the customer arrives rather than after. First, the customer's downtime becomes the swap-and-test interval, not the repair interval, because the repair was done earlier on another unit. Second, FTAI's own work becomes repetitive and schedulable: the same two engine variants, split at the same flanges, rebuilt to a stock of standard configurations, so the shop can be loaded like a production line and its output counted in units. Third, every exchange feeds the next one, because the unserviceable module that comes back is the raw material for a future serviceable module. The cost of this arrangement is the inventory: FTAI must own a stock of serviceable modules large enough to meet exchanges as they arise, and a stock of unserviceable ones in work. Section 53 gives the inventory figure. None of this is unique to FTAI in principle; StandardAero lists "engine module changes" among its quick-turn services and GE sells exchanges under TrueChoice Transitions (§46.5). What FTAI's filings describe as distinctive is the scale and the organisation of the work as a factory. [D5 §2.2; StandardAero brochure, Oct 2022; D2 §2.3]

46.4 DOWNTIME, AND WHAT IS KNOWN ABOUT IT

The whole commercial case for an exchange rests on the time saved, and the research could not source FTAI's own turnaround. [D5 U3] What it could source is the market's figures for the two alternatives. A hospital or quick-turn visit, which Part I §6.1 defined as a visit that fixes one

finding and returns the engine, runs about 45 days in 2025 trade reporting; a module exchange is one of the things such a visit does. [Aviation Business News, 2025; StandardAero brochure, Oct 2022] A performance restoration runs 75 to 90 days on a consultancy blog's figures and a full overhaul 90 to 120 days in trade reporting, with GE at about 90; the slot wait of two to six months comes before either. [Safe Fly Aviation, 2026; Aviation Business News, 2025; GE Aerospace, 27 May 2026; Bain, 2024] FTAI's Miami business is branded "QuickTurn" and the Rome joint venture "QuickTurn Europe", which names the intent without quantifying it; the lower-case workscope and the capitalised brand are kept distinct in this primer. [FTAI release, 5 Jun 2025; registry C-20] Section 55 works the arithmetic of the downtime saving with every input labelled.

46.5 CONTRAST WITH A CONVENTIONAL SHOP VISIT AND WITH TRUECHOICE TRANSITIONS

EXHIBIT 7.3 — THREE WAYS TO DEAL WITH AN EXPIRED CFM56 MODULE: THE CONVENTIONAL VISIT, THE OEM'S TRANSITION MENU, AND FTAI'S EXCHANGE, AS THE SOURCES DESCRIBE EACH

Dimension	Conventional performance restoration (Part IV)	GE TrueChoice Transitions (Part IV §28)	FTAI module exchange (this Part)
Who performs the work	Any Part 145 engine shop: the OEM network, an independent, an airline shop	GE Aerospace's network	FTAI's shops in Montréal, Miami, Lisbon and Orange; QuickTurn Europe in Rome (50%); partner shops in Indonesia and Egypt
What the owner gets back	Its own engine, restored	Per GE: "green time leases, exchanges and material buy-back, plus custom workscope with shorter builds and maximum used material"	Its own engine with a serviceable module from inventory, or a different engine of the same type
What the owner gives up	Nothing; it keeps every part, including remaining life in untouched modules	Under an exchange or buy-back, the unit or material handed over	The unserviceable module (the returned core)
Pricing form	Parts at catalogue list price plus labour by the hour (time-and-materials), or a flight-hour agreement	Not retrieved	Exchange fee plus the fair value of the core; no price list published (K-01)

Dimension	Conventional performance restoration (Part IV)	GE TrueChoice Transitions (Part IV §28)	FTAI module exchange (this Part)
Downtime	75–90 days (restoration, consultancy blog); 90–120 days (overhaul, trade press); plus a 2–6 month slot wait	Not retrieved	FTAI's turnaround not retrieved; quick-turn visits generally ~45 days (trade press)
Material content	New parts from the original equipment manufacturer (OEM) and OEM-approved repairs by default; used serviceable material (USM) and PMA where the owner accepts them	GE describes "maximum used material"; GE states it is "the largest used serviceable material provider" for its products	Used material, PMA parts from the Chromalloy venture, and OEM parts and repairs under the CFM materials agreement
Who bears inventory	The owner, through spare engines held for the turnaround	GE, through its material pool	FTAI, through module inventory (\$1,364.3M at 31 Mar 2026)
Capacity measure	Inductions per year (Part IV §27)	Not retrieved	Modules per year (§49)

Source: D2 §2.1, §2.3 and §2.4 (GE press releases on TrueChoice, GE Aerospace statements, 2026); Safe Fly Aviation, 2026 (consultancy blog); Aviation Business News, 2025; Bain, 2024; FTAI 10-K FY2025; FTAI 10-Q Q1 2026; D5 §2.2–2.3. Reconciliation R-019; registry C-4.

The second column matters because it shows that the engine manufacturer sells a version of the same thing. GE describes TrueChoice Transitions as "a broad range of options for changing ownership horizons, including green time leases, exchanges and material buy-back, plus custom worksopes with shorter builds and maximum used material", and separately states that "GE and CFM are the largest used serviceable material provider for their products" and that on the CFM56 "an open network exists with multiple providers who compete and invest to win shop visits". [GE Aerospace press releases, via D2 §2.3; GE Aerospace, 2026, via D2 §2.3 and §3.4] One dossier calls this offering "the OEM's direct competitor to FTAI's Module Factory". [D2 §2.3] The research did not retrieve TrueChoice Transitions pricing, volumes or turnaround. Aviation Week ran a piece titled "Daily Memo: Will Engine Module Swaps Endure In Leaner Times?", whose date and content were not retrieved; the title records that the trade press treats the module swap as a model whose durability is a live question. [Aviation Week, date not returned, via orchestrator notes] This Part describes the model and stops.

47. Exchanges, module sales and engine sales: pricing and revenue recognition

The segment books three kinds of transaction, and the boundary between them is where the dispute in §54 sits. This section defines the three, sets out how the industry prices an exchange and how US accounting rules book one, records what FTAI has and has not disclosed about its own fees, and states the definitional question the short report raised without resolving it.

47.1 THE THREE TRANSACTIONS

ENGINE SALE, OUTRIGHT MODULE SALE AND EXCHANGE

The segment's three product transactions. An engine sale books the whole-engine price as revenue. An outright module sale books a module's cash price as revenue with no unit coming back. An exchange books an exchange fee plus the fair value of the unserviceable unit received. In all three, revenue is recognised at the point in time when control of the delivered engine or module passes to the customer, and cost of sales is the carrying value of what was delivered. The January 2025 short report's central allegation concerns the boundary between the first and the other two (§54). [D5 §2.3]

EXCHANGE FEE AND THE RETURNED CORE

The exchange fee is the cash price a customer pays to receive a serviceable module in return for an unserviceable one. The returned core is the unserviceable module the customer hands over, which has value to the exchanger as feedstock. The industry prices an exchange as the fee plus the value of life-limited-part life transferred, adjusted for the condition of the other hardware. This is the second meaning of "core" in the primer; the first is the engine's hot middle module (Part I §1), and this Part writes "returned core" or "the unit handed back" whenever the exchange sense is meant. FTAI publishes no exchange price list, so the revenue-per-module figures of §56 are upper bounds on the fee, not prices. [D5 §2.3, §2.10; D2 §2.5, U7; D3 §2.7, U20; registry C-6]

The price structure of an exchange follows from Part I §4 and §8. A module's value is the sum of its serviceable parts at used-material discounts to list plus the remaining life of the life-limited parts inside it, less the repair needed to make it serviceable (Part V §36). [D3 §2.7] When a customer hands over a module whose turbine disk has 1,200 cycles left and receives one whose disk has 10,000, the customer has bought 8,800 cycles of disk life and the price reflects it. The fee above that life transfer, which is what FTAI, GE or MTU Maintenance (the German engine maker's shop) charge for the module itself, the avoided downtime and the margin, was not found in any source the research reached. [D2 U7; D3 U20; D5 U3; reconciliation cluster K-01] One consultancy blog quotes "removal costs of \$150,000–\$400,000 per module" for life-limited modules; the research recorded the phrase as ambiguous and did not use it. [Safe Fly Aviation, 2026, via D2 §2.5] Part IV §30 brackets the life-transfer element at about \$250,000 for a high-pressure-turbine set

carrying 10,000 cycles, or about \$2.0M if a whole stack's life is priced at \$200 a cycle, both derived from contested list prices and with the fee itself unknown. [D2 §2.5; reconciliation R-016, R-017]

47.2 HOW AN EXCHANGE IS BOOKED

ASC 606 AND NONCASH CONSIDERATION

ASC 606, Topic 606 of the US Accounting Standards Codification (ASC), is the US revenue-recognition standard for contracts with customers. Under it, noncash consideration received from a customer is measured at fair value and included in the transaction price. For an exchange, that means revenue equals the cash fee plus the fair value of the returned core, and cost of sales equals the carrying value of the module delivered. FTAI's filings state that MRE Contract sales to the Strategic Capital vehicles are booked under ASC 606 and that the profit on them is eliminated through equity-method earnings (§48). The exact wording of FTAI's revenue-recognition policy for exchanges, including how it values a returned core and whether it quantifies fees separately, was not retrieved.

[D5 §2.3, U1; D7 §2.5]

The consequence for reading FTAI's revenue is that an exchange generates more revenue than cash. If a customer pays a fee of F and hands over a core worth C , FTAI books F plus C as revenue and receives F in cash and a module in kind. The module in kind then becomes inventory at C and, after repair, cost of sales on a later exchange. [D5 §2.3] This is standard accounting, not a peculiarity of FTAI's. It matters here because the segment's revenue per module (§56) includes the fair values of cores received, and because an inventory build (§53) is partly the accumulation of cores.

WORKED EXAMPLE 7.1 — HOW ONE EXCHANGE BOOKS, WITH EVERY NUMBER ASSUMED

Inputs, all assumed for illustration because FTAI publishes none of them (D5 U1, U3; cluster K-01): a customer pays an exchange fee F of \$1.0M for a serviceable core module; the unserviceable core it hands over is valued by FTAI at a fair value C of \$0.6M; the module FTAI delivers is carried in inventory at \$1.1M, being its acquisition cost plus the parts, labour and overhead spent making it serviceable.

$$\begin{aligned} \text{revenue} &= F + C = 1,000,000 + 600,000 = \$1,600,000 \\ \text{cost of sales} &= \text{carrying value delivered} = \$1,100,000 \\ \text{gross profit} &= 1,600,000 - 1,100,000 = \$500,000, \text{ or } 31\% \text{ of revenue} \\ \text{cash received} &= F = \$1,000,000 \\ \text{inventory added} &= C = \$600,000 \text{ (the returned core, before repair)} \end{aligned}$$

So the transaction shows \$1.6M of revenue on \$1.0M of cash, and the \$0.6M difference is a module FTAI now owns and must spend money repairing before it can be sold again. If the same module

were sold outright for \$1.6M with nothing coming back, revenue and gross profit would be identical and cash would be \$0.6M higher. Limits of the example: every input is assumed; FTAI's valuation method for returned cores is not disclosed; the carrying value of a delivered module depends on how much of its content was used material, PMA or new OEM parts (§52); and the sourced revenue per module of \$56 is a blend of exchanges, outright sales, whole engines and parts. [D5 §2.3, §2.10]

47.3 WHAT IS KNOWN AND UNKNOWN ABOUT FTAI'S FEES

Three facts are known. First, the filings describe the outputs as "engine, module, and parts sales" and present them, for all customers other than the Strategic Capital vehicles, on a single income-statement line. [FTAI 10-K FY2025]

AEROSPACE PRODUCTS REVENUE (INCOME-STATEMENT LINE)

The consolidated income-statement line for the segment's sales of modules, engines and parts to customers other than the Strategic Capital vehicles: \$454,970 thousand in 2023, \$1,079,821 thousand in 2024 and \$1,600,456 thousand in 2025. It is distinct from MRE Contract revenue (§48), which the filings show on a separate line from 2025, and from segment revenue, which is the sum of the two. No retrieved filing disaggregates it into engines, modules, parts and repairs. [FTAI 10-K FY2025, segment table via orchestrator notes; D5 §2.3, U2; D10 §2.4]

Second, the only observable bound on the average fee is the ratio of that line to modules produced: \$1,600.5M divided by 757 modules is \$2.11M for 2025, and \$692.2M divided by 296 is \$2.34M for the second quarter of 2026. Those are upper bounds on the average cash fee for a module, because the numerator contains whole-engine sales, parts sales and the fair values of cores received while the denominator counts only CFM56 modules; §56 works the figures and their limits. [D5 §2.10–2.11; reconciliation R-046] Third, the one cost lever FTAI has quantified is on the production side rather than the price side: the Bristol accessories venture is "expected to deliver up to \$75,000 in average savings per shop visit". [FTAI Q3 2025 call, via Insider Monkey]

What is not known is longer. The exchange fee itself, the method for valuing a returned core, whether fees and core values are quantified separately, the split of the revenue line among engines, modules, parts and repairs, the margin by line, and whether disclosure changed after the February 2025 review are all recorded as open. [D5 U1, U2, U3; D2 U7; D3 U20] Trade interviews that may contain estimates were located and not read. [In Practise, "FTAI Aviation: CFM56 repair and module swap", located by D2 and D5, not read]

47.4 THE DEFINITIONAL QUESTION THE SHORT REPORT RAISED

A whole CFM56 is, in FTAI's counting convention, three modules (Part I §3.2). A serviceable engine built from three modules and sold outright is an engine sale. The same three modules installed one at a time into three different customers' engines are three module exchanges. The

revenue booked may be similar; the character of the transaction, and what a reader infers about how repeatable it is, differ. The January 2025 report by Muddy Waters Research alleged, in the words of the later securities complaint, that FTAI had "presented whole engine sales as module sales" and had reported "one-time engine sales as MRO revenue"; FTAI "strongly disagrees", and its Audit Committee found the allegations "without merit". [law-firm case pages via orchestrator notes; Seeking Alpha, Jan 2025; FTAI 8-K exhibit, Feb 2025] This section states only the definitional point: because the filings do not disaggregate the revenue line, a reader cannot tell from the filings alone how much of it is whole engines and how much is modules and parts. [D5 U2] Section 54 gives each party's position with its source.

48. MRE Contract revenue: the Strategic Capital vehicles as customer

From 2025 the segment has a second revenue line whose customer is a partnership that FTAI manages and part-owns. This section defines the line by quoting both filings that describe it, gives every figure the research retrieved, explains how the profit on it is treated, and derives the share of segment revenue it represented by period.

48.1 THE CUSTOMER

Part VIII §60 to §62 describe the Strategic Capital Initiative (SCI) in full. For this section the reader needs four facts. FTAI launched the initiative on 30 December 2024. Its first vehicle, the 2025 Partnership, raises third-party capital into a closed-end partnership whose special-purpose vehicles buy on-lease mid-life 737NG and A320ceo aircraft; it reached a \$2.0B equity hard cap in October 2025 and about \$6.0B of total capital across more than 300 aircraft by August 2026. FTAI is the Servicer, the party contracted to manage the assets for a fee (Part VIII §61), and holds a limited-partner stake described as 19% in the FY2025 10-K and the 2026 10-Qs and as 20% in the Q3 2025 10-Q. [FTAI releases, 30 Dec 2024, 27 Oct 2025 and 17 Aug 2026; FTAI 10-K FY2025; FTAI 10-Qs; reconciliation R-048] And each release on the vehicle repeats one sentence about its engines: they "will be powered exclusively via engine and module exchanges with FTAI's Maintenance, Repair and Exchange (MRE) business". [FTAI releases, 26 Feb 2025, 25 Mar 2025 and 17 Aug 2026, via D7 §2.4]

48.2 THE LINE, DEFINED BY TWO FILINGS

MRE CONTRACT REVENUE

The income-statement line, new in FY2025, for FTAI's sales of CFM56-5B, CFM56-7B and V2500 engines and related modules to the special-purpose vehicles of the 2025 Partnership under the MRE Contract: \$335.8M for 2025, \$221.2M in the first quarter of 2026, \$182.8M in the second (against \$69.6M a year earlier) and \$404.0M for the first half of 2026 (against \$170.2M). The Q2 2026 10-Q defines it as "the transaction price for sales of CFM56-5B, CFM56-7B and V2500 engines and related modules to the SPVs of the first SCI partnership" and describes it as covering "the sale and purchase of engines to and from the 2025 Partnership". The Q3 2025 10-Q describes "stand-ready obligations to provide replacement CFM56-5B and CFM56-7B engines to customers as they become unserviceable". Profit on these related-party sales is eliminated through equity-method earnings. [FTAI 10-Q Q2 2026, via orchestrator notes; FTAI 10-Q Q3 2025, via D10 §2.4; FTAI 10-K FY2025; D5 §2.3; registry C-15]

STAND-READY OBLIGATION

A contractual duty to supply on demand. Under the MRE Contracts FTAI must provide replacement CFM56-5B and -7B engines to the customer as the customer's engines become unserviceable, so it must hold a pool of serviceable engines against the obligation whether or not any particular engine fails in a given period. The FY2025 10-K lists these obligations among its risk factors. [FTAI 10-Q Q3 2025, via D10 §2.4 and §5; D10 U-15]

The two filings describe the same line in different registers, and the research recorded the difference as a tension rather than resolving it. [reconciliation R-044] The Q3 2025 10-Q's language is that of an obligation: FTAI stands ready to supply engines as they become unserviceable, which is the language of a service a provider commits to perform over time. The Q2 2026 10-Q's language is that of sales: a transaction price for engines and modules sold to specified buyers, which is the language of a product delivered at a point in time. One dossier reads the line as "a customer pays FTAI to keep its CFM56 fleet powered"; another reads it as "a sale by FTAI of the replacement module or engine ... usually with the run-out unit taken back as feedstock". [D10 §2.4; D7 §2.4] Both quotations are from FTAI's own filings of different dates, both are carried here, and the phrase "sale and purchase of engines to and from" in the later filing indicates that units also flow back from the Partnership to FTAI, which is the returned-core mechanism of §46.3 applied at engine level. Whether the line is recognised at points in time, over time, or in some combination was not retrieved. [D5 U1]

48.3 THE FIGURES BY PERIOD

EXHIBIT 7.4 — MRE CONTRACT REVENUE BY PERIOD, BESIDE SEGMENT REVENUE, WITH THE RELATED-PARTY SHARE DERIVED

Period	MRE Contract revenue	Aerospace products revenue	Segment revenue (sum)	MRE share of segment revenue (derived)	Source
FY2023	\$0	\$455.0M	\$455.0M	0%	FY2025 10-K segment table
FY2024	\$0	\$1,079.8M	\$1,079.8M	0%	FY2025 10-K segment table
Q1 2025	\$100.6M (derived: 170.2 – 69.6)	not retrieved	not retrieved	not computable	Q2 2026 10-Q comparatives
Q2 2025	\$69.6M	≈\$422.0M (derived: 491.6 – 69.6, on a derived base)	≈\$491.6M (derived: 875.0 ÷ 1.78)	≈14.2%	Q2 2026 10-Q; Q2 2026 release (+78%)
1H 2025	\$170.2M	not retrieved	not retrieved	not computable	Q2 2026 10-Q comparatives
2H 2025	\$165.6M (derived: 335.8 – 170.2)	not retrieved	not retrieved	not computable	10-K and 10-Q
FY2025	\$335.8M	\$1,600.5M	\$1,936.2M	17.3%	FY2025 10-K
Q1 2026	\$221.2M	\$522.6M	\$743.8M	29.7%	Q1 2026 10-Q; Q1 2026 release
Q2 2026	\$182.8M	\$692.2M (derived: 1,214.8 – 522.6)	\$875.0M	20.9%	Q2 2026 10-Q; Q2 2026 release
1H 2026	\$404.0M	\$1,214.8M	\$1,618.8M (derived)	25.0%	Q2 2026 10-Q

Source: FTAI Aviation, Form 10-K for FY2025 (segment table, via orchestrator notes; segment geographic table total \$1,936,244 thousand, via D5 §4.5); Form 10-Q for the quarter ended 31 Mar 2026; Form 10-Q for the quarter ended 30 Jun 2026, <https://www.sec.gov/Archives/edgar/data/0001590364/000162828026051412/ftai-20260630.htm> ; Q1 2026 and Q2 2026 earnings releases (GlobeNewswire, 29 Apr 2026 and 29 Jul 2026). Shares and the figures marked derived are arithmetic on the filed numbers, done in the research (D5 §2.8, §4.1) and here. Reconciliation B-1, R-043. Accessed 2026-10-03.

Three documents agree, without quoting each other, that segment revenue is the sum of the two lines: the 10-K's segment geographic table totals \$1,936,244 thousand, which is exactly \$1,600,456 thousand plus \$335,788 thousand; the Q1 2026 release gives segment revenue of \$743.8M, which is the 10-Q's \$522,585 thousand plus \$221,230 thousand; and the Q2 2026 10-Q's \$182.8M of MRE Contract revenue equals the difference between the release's \$875.0M of segment revenue and the derived \$692.2M of products revenue. [reconciliation B-1] The explicit segment-note mapping that assigns the MRE line to the segment was not retrieved, and one dossier treated the placement as open; this Part and Part X each carry that sentence. [D10 T-4; reconciliation R-043; E.1 rule 8]

WORKED EXAMPLE 7.2 — THE RELATED-PARTY SHARE OF SEGMENT REVENUE, PERIOD BY PERIOD

Inputs: MRE Contract revenue of \$335.8M (FY2025), \$221.2M (Q1 2026), \$182.8M (Q2 2026) and \$69.6M (Q2 2025) (all sourced: FY2025 10-K and 2026 10-Qs); segment revenue of \$1,936.2M (FY2025, sourced: 10-K geographic table), \$743.8M (Q1 2026, sourced: release) and \$875.0M (Q2 2026, sourced: release); Q2 2025 segment revenue derived as $\$875.0\text{M} \div 1.78 = \491.6M from the release's "+78%" (derived).

$$\begin{aligned}
 &\text{FY2025: } 335.8 \div 1,936.2 = 17.3\% \\
 &\text{Q2 2025: } 69.6 \div 491.6 = 14.2\% \text{ (on a derived base)} \\
 &\text{Q1 2026: } 221.2 \div 743.8 = 29.7\% \\
 &\text{Q2 2026: } 182.8 \div 875.0 = 20.9\% \\
 &\text{1H 2026: } 404.0 \div 1,618.8 = 25.0\% \\
 &\text{growth in the line, Q2 2026 on Q2 2025: } 182.8 \div 69.6 = 2.63\times; \text{ 1H: } 404.0 \div 170.2 = 2.37\times
 \end{aligned}$$

So between one seventh and three tenths of the segment's revenue in each period from the second quarter of 2025 came from sales to a partnership FTAI manages and part-owns. The segment's Adjusted EBITDA margin (Adjusted EBITDA being FTAI's adjusted earnings measure, boxed in §53.1 and defined in Part X §80) was 35% in the fourth quarter of 2025 and about 29 to 30% in the first half of 2026, the period in which the related-party share was highest. The research recorded that movement and declined to infer a cause, because the filings do not disclose margin by revenue line and because the elimination of profit on these sales (\$48.4) runs through a different line from segment revenue. Limits of the example: the Q2 2025 base is derived from a growth rate; the Q1 2025 and second-half 2025 segment revenues were not retrieved; and the 2025 Partnership was buying aircraft through 2025 and into 2026, so the first exchanges on newly acquired aircraft may not represent a steady state. [D5 §2.8; D7 §5.2; reconciliation R-043, R-047]

48.4 THE PROFIT-ELIMINATION MECHANICS, BOTH READINGS

PROFIT ELIMINATION (INTRA-ENTITY PROFIT ELIMINATION)

When a company sells to an entity it accounts for under the equity method, the share of profit on the sale that corresponds to its own ownership is removed from current earnings and recognised later, as the investee realises the asset's value. FTAI's Q2 2026 10-Q: the elimination is "of profit on sales of engines and modules to the 2025 Partnership under ASC 606. The profit from the MRE Contract revenue is eliminated through equity method earnings and will be recognized over time as the 2025 Partnership generates income from leasing and sales activities". Eliminations were \$10.0M in Q1 2026, \$6.6M in Q2 2026 and \$16.6M for the half. Whether the elimination is proportional to FTAI's stake or covers 100% of the profit is not stated. Part VIII §63 carries the full treatment. [FTAI 10-Q Q2 2026, via D7 §2.5; reconciliation R-047]

The disclosed sentence supports two readings, and the research presents both without choosing. [reconciliation R-047; E.1 rule 12] Under the first, the usual treatment of profit on sales to an equity-method investee, FTAI eliminates only the share of profit that corresponds to its own stake, because the other 81% (or 80%) of the Partnership's owners are third parties who have paid an arm's-length price. Under the second, FTAI defers the whole profit until the Partnership realises it. The arithmetic differs by a factor of about five.

WORKED EXAMPLE 7.3 — WHAT \$16.6M OF ELIMINATIONS IMPLIES ABOUT THE GROSS PROFIT ON MRE SALES TO THE PARTNERSHIP, UNDER EACH READING

Inputs: eliminations of \$16.6M for 1H 2026 (sourced: Q2 2026 10-Q, \$10.0M plus \$6.597M); FTAI's stake of 19% (sourced: FY2025 10-K and 2026 10-Qs) or 20% (sourced: Q3 2025 10-Q); gross MRE Contract revenue to the Partnership of \$404.0M for 1H 2026 (sourced: Q2 2026 10-Q).

Reading A, proportional to the stake:

at 19%: implied gross profit = $16.6 \div 0.19 = \$87.4\text{M}$ for the half
(≈\$175M annualised)

at 20%: implied gross profit = $16.6 \div 0.20 = \$83.0\text{M}$ for the half
(≈\$166M annualised)

implied gross margin on \$404.0M = 21.6% (19%) or 20.5% (20%)

Reading B, 100% deferred:

implied gross profit = \$16.6M for the half (≈\$33M annualised)

implied gross margin on \$404.0M = 4.1%

So the same disclosed number is consistent with the Partnership sales carrying a gross margin in the low twenties, or one in the low single digits, depending on an accounting method the filing does not state. Under reading A about \$87M of half-year gross profit on related-party sales would have been recognised in the segment's revenue and cost of sales and about \$17M of it removed one line lower; under reading B the whole profit would have been removed. A reader comparing the segment's reported margin on Partnership volume with its margin on third-party volume cannot do so from the

filings. Limits of the example: the elimination method is undisclosed; the 19% and 20% figures come from filings of different dates and may reflect dilution at the final close; the half-year may include catch-up exchanges on newly acquired aircraft; and "gross profit" here is the profit the elimination acts on, whose definition the filing does not give. [FTAI 10-Q Q2 2026, via D7 §2.5 and orchestrator notes; reconciliation R-047, R-048; D7 T7]

Two further facts bear on how the line is read. First, the Partnership also pays FTAI servicing fees, \$10.2M in 2025 and \$12.85M in the first half of 2026, and FTAI records equity-method income on its stake; neither sits in Aerospace Products, and Part VIII §63 sets out all the streams. [FTAI 10-K FY2025; FTAI 10-Q Q2 2026, via D7 §2.5] Second, the 10-K accounts for FTAI's sales of aircraft into the Partnership as "non-recurring in nature and not considered part of the Company's ordinary activities", while the engine and module sales under the MRE Contract are ordinary revenue under ASC 606; the two kinds of sale to the same buyer are treated differently, as Part VIII §64 explains. [FTAI 10-K FY2025, via D7 §2.5; reconciliation R-057]

49. Volumes, capacity and the share target, year by year

FTAI reports its output in modules. This section gives every module count the research found, with how each is known; the 2026 target as filed and as reported from a later call; every capacity statement with the unit it is counted in and the footprint it covers; and the share goal against three different denominators. Nothing here is compared across units without saying so.

49.1 MODULES PRODUCED

MODULES PRODUCED (MODULES REFURBISHED)

FTAI's quarterly count of CFM56 modules its Module Factory has refurbished and made serviceable: 184 in the second quarter of 2025, 228 in the fourth, 757 for 2025 against a target of 750, 296 in the second quarter of 2026 and 566 for the first half. A module produced is not a module sold: it may enter inventory, go into an engine in FTAI's own leasing fleet, or be built into a Mod-1 generator set (Part IX). FTAI's releases convert modules to engines at three per engine. Whether modules produced at the 50%-owned Rome shop are included was not retrieved. [FTAI Q2 2025 release; FTAI Q4 2025 call via Motley Fool and MarketBeat; FTAI Q2 2026 release and call; D5 §2.4, U10; registry C-4]

EXHIBIT 7.5 — CFM56 MODULES PRODUCED, BY PERIOD, WITH HOW EACH FIGURE IS KNOWN

Period	Modules	How known	Source
FY2025 plan (set Dec 2024)	≈400 from Montréal	"an average of 100 modules per quarter produced at the Company's Montreal facility in fiscal year 2025"; ×4 derived	FTAI release, 30 Dec 2024
Q4 2024	≈136	Derived: Q4 2025's 228 was "up 68% year-over-year"; $228 \div 1.68 = 135.7$	FTAI Q4 2025 call via Motley Fool, 26 Feb 2026
Q2 2025	184	Stated	FTAI Q2 2025 release, 29 Jul 2025
Q1 + Q3 2025	345	Derived: $757 - 184 - 228$; the split was not retrieved (D5 U4)	FTAI Q4 2025 call summaries
Q4 2025	228	Stated (+68% y/y)	FTAI Q4 2025 call via Motley Fool and MarketBeat
FY2025	757	Stated; target was 750	FTAI Q4 2025 call via Motley Fool and MarketBeat
Q1 2026	≈270	Derived: $566 - 296$	FTAI Q2 2026 release (chain map)
Q2 2026	296	Stated (+61% y/y); $296 \div 1.61 = 183.9$, consistent with Q2 2025's 184	FTAI Q2 2026 release and call via GuruFocus
1H 2026	566	Stated	FTAI Q2 2026 release (chain map)
FY2026 target	1,050	Set with the Q4 2025 results, 25 Feb 2026 (+39% on 757)	FTAI Q4/FY2025 release and call
FY2026 target, later	1,200	"2026 forecast raised to 1,200 modules" on the 30 Jul 2026 call, per call coverage; not returned from the 29 Jul 2026 release text	GuruFocus, Nasdaq.com, MarketBeat, 30 Jul 2026
2022, 2023, 2024 full years; Q1 and Q3 2025	not retrieved	D5 U4	n/a

Source: FTAI Aviation / GlobeNewswire, "FTAI Aviation Launches Strategic Capital Initiative and Announces 2025 Financial Guidance", 30 Dec 2024; FTAI Q2 2025 results release, 29 Jul 2025; Motley Fool, FTAI Q4 2025 earnings call transcript, 26 Feb 2026

2026; MarketBeat, Q4 2025 call highlights, 26 Feb 2026; FTAI Q2 2026 results release, 29 Jul 2026; GuruFocus, Q2 2026 call transcript, 30 Jul 2026. Derivations in D5 §2.4. Reconciliation R-036; E.2 "FTAI modules produced". Accessed 2026-10-03.

WORKED EXAMPLE 7.4 — DERIVING THE TWO MISSING QUARTERS, AND WHAT THE 2026 TARGETS IMPLY FOR THE SECOND HALF

Inputs: Q4 2025 output of 228 modules, "up 68% year-over-year" (sourced: Q4 2025 call); 1H 2026 output of 566 and Q2 2026 of 296 (sourced: Q2 2026 release); FY2025 output of 757 (sourced); the 2026 targets of 1,050 (sourced: Feb 2026 release) and 1,200 (sourced as call coverage of the July 2026 call).

$$\begin{aligned} \text{Q4 2024} &= 228 \div 1.68 = 135.7, \text{ about } 136 \\ \text{Q1 2026} &= 566 - 296 = 270 \\ \text{Q1} + \text{Q3 2025} &= 757 - 184 - 228 = 345 \text{ (split unknown)} \\ \text{second half of 2026 needed for 1,050: } &1,050 - 566 = 484, \text{ or } 242 \text{ a quarter} \\ \text{second half of 2026 needed for 1,200: } &1,200 - 566 = 634, \text{ or } 317 \text{ a quarter} \\ \text{run-rate check: Q2 2026 was 296; Q1 2026 was 270} \end{aligned}$$

So the filed target of 1,050 for 2026 would be met at a second-half pace below the second quarter's, and the 1,200 figure reported from the July call would need a pace about 7% above it. The 2024 full year is not retrievable from these figures: only its fourth quarter is derivable, and the Dec 2024 plan of about 400 modules from Montréal for 2025 was exceeded by the 757 actual, though the actual may include sites the plan did not. Limits of the example: the Q4 2024 figure depends on a rounded growth rate; produced is not sold; and whether Rome's output is counted is unknown (D5 U10). [D5 §2.4; reconciliation R-036]

The 2026 target has two figures and the research keeps both. The company set 1,050 with its fourth-quarter 2025 results on 25 February 2026, a 39% increase on the 757 produced in 2025. [FTAI Q4/FY2025 release, 25 Feb 2026; FTAI Q4 2025 call via Motley Fool] Coverage of the second-quarter 2026 call on 30 July 2026 reported that management had raised the forecast to 1,200; the orchestrator's search of the 29 July 2026 release text did not return that figure, and one summary of the same call still read "2026 goal is 1,050 modules". [GuruFocus, Nasdaq.com and MarketBeat, 30 Jul 2026; Quartr, Q2 2026 summary; orchestrator notes; reconciliation R-036] This primer writes the pair as "1,050 (Feb 2026 release), raised to 1,200 on the July 2026 call (call coverage)" wherever it appears. [E.1 rule 2]

Engine sales counts, as distinct from module counts, were not disclosed in anything the research retrieved, and neither were counts of V2500 shop visits completed under the IAE agreement (§51). [D5 U6]

49.2 CAPACITY: WHAT EACH STATEMENT COUNTS

Part IV §27 defines a shop's capacity as the number of inductions a year it can take, set by floor space and stands, licensed technicians, test-cell hours and parts flow. FTAI's unit is different. Its

releases quote capacity in modules a year, and the two units are never compared directly in this primer. [D2 §2.4; registry C-4] Four capacity statements exist, at four dates, in three units, for different footprints.

EXHIBIT 7.6 — FTAI'S CAPACITY STATEMENTS: UNIT, FOOTPRINT, DATE AND SOURCE LEVEL

Statement	Unit	Footprint covered	Date and source level	Source
"capacity for up to 300 shop visits per year"	Shop visits (whole engines)	Montréal alone, as a conventional shop	Language first used in the FY2022 10-K; still returned from the FY2025 10-K (filing)	FTAI 10-K FY2022 and FY2025
"capacity for 1,350 CFM56 module overhauls and >500 engine tests per year"	Modules; engine tests	Montréal plus Miami, at the closing of the Lockheed Martin Commercial Engine Solutions (LMCES) purchase	9 Sep 2024 (company release)	GlobeNewswire, 9 Sep 2024
QuickTurn Europe "adds capacity for 450 modules (150 engines) per year, taking FTAI's total to 1,800 modules (600 engines) and >600 engine tests per year"	Modules; engines at three per engine; engine tests	Montréal, Miami and Rome	26 Feb 2025 (company release)	GlobeNewswire, 26 Feb 2025
Lisbon "113,000 sq ft, 300+ modules/yr"	Square feet; modules	Lisbon alone	Call coverage via the chain map; unverified against a primary source	Chain map; D2 §3.3
"increased CFM56 module production capacity to 3,000 per year, supporting its 25% market share goal and 100 Mod-1 units annually"	Modules	All sites and partners, including Indonesia and Egypt	30 Jul 2026 call (call coverage)	GuruFocus and Quartr, Q2 2026 call

Source: FTAI Aviation, Form 10-K for FY2022 and FY2025; GlobeNewswire, "FTAI Aviation Closes the Acquisition of LMCES", 9 Sep 2024, <https://www.globenewswire.com/news-release/2024/09/09/2943296/0/en/FTAI-Aviation-Closes-the->

Acquisition-of-LMCES.html ; GlobeNewswire, FTAI Q4/FY2024 results and QuickTurn Europe agreement, 26 Feb 2025; GuruFocus and Quartr coverage of the Q2 2026 call, 30 Jul 2026; chain map (orchestrator). Reconciliation R-037, R-041; E.1 rules 2 and 17. Accessed 2026-10-03.

The statements do not contradict one another; they measure different things. [D5 T2; reconciliation R-037] The 300-visit figure describes one building run as a conventional shop in 2022. The 1,350 and 1,800 figures are module counts for two and then three sites, with the engine count given at three modules per engine. The 3,000 figure is a module count for every site and partner as of mid-2026, reported from a call rather than a filing or release. And the Lisbon figure comes from the chain map's reading of call coverage and was not verified. [E.1 rule 2]

WORKED EXAMPLE 7.5 — PUTTING THE CAPACITY STATEMENTS ON ONE SCALE, UNDER EACH MODULE-PER-ENGINE CONVENTION

Inputs: the four statements above (sourced as labelled); FTAI's conversion of three modules per engine (sourced: the 26 Feb 2025 release's "450 modules (150 engines)"); Part I's anatomical count of four major modules including the gearbox (sourced: D1 §2.3); 1H 2026 output of 566 modules (sourced).

```
300 shop visits at 3 modules per engine = 900 module-equivalents; at 4 =
1,200
1,350 modules at 3 per engine = 450 engines; at 4 = 338
1,800 modules at 3 per engine = 600 engines (the release's own figure);
at 4 = 450
3,000 modules at 3 per engine = 1,000 engines; at 4 = 750
utilisation check: 566 modules in 1H 2026, annualised = 1,132
1,132 ÷ 1,800 (release, Feb 2025) = 63%
1,132 ÷ 3,000 (call coverage) = 38%
```

So, under FTAI's own convention, the 2022 statement about one building would be about 900 module-equivalents, below the 1,350 the company claimed for two buildings in 2024; the figures are consistent with growth, not in conflict. The utilisation check shows that output in the first half of 2026 ran well below either stated capacity, which is what a company adding sites that are "still ramping" would report; it is not a measure of how full any one shop was. Limits of the example: a shop visit is not three module overhauls (an exchange touches one module; an overhaul opens all of them), so the first line is a scale check only; the 3,000 figure is call coverage; and whether partner shops' output counts toward FTAI's reported modules is unknown. [D5 §2.4, T2, U10; reconciliation R-035, R-037; Quartr, Q2 2026 summary]

Two further dimensions of capacity are quoted or implied. Test capacity, as §46.2 noted, is quoted as more than 500 and then more than 600 engine tests a year; the number of test cells and the staffing by site were not retrieved. [GlobeNewswire, 9 Sep 2024 and 26 Feb 2025; D5 U9] And the Mod-1 generator set of FTAI Power draws on the same module production: the 3,000-module statement is described as supporting both the share goal and 100 Mod-1 units a year, and one

dossier computes that 100 units would consume about 100 engines, roughly 300 module-equivalents, a year under the three-per-engine convention. [GuruFocus, Q2 2026 call; D8 §2.10] The allocation rule between aftermarket customers and FTAI Power was not disclosed. [D5 §5]

49.3 THE SHARE GOAL, AGAINST THREE DENOMINATORS

25% SHARE GOAL

FTAI's stated goal of 25% of CFM56 shop visits, which the 3,000-module capacity is said to support alongside 100 Mod-1 units a year. The denominator (the industry's annual shop-visit count, or a module equivalent of it) and the target year were not disclosed in anything the research retrieved. An earlier framing, from a February 2025 release, put the segment's addressable market at \$22B with FTAI holding about 5% as of 2024. [GuruFocus and Quartr, Q2 2026 call; FTAI release, 26 Feb 2025, via D7 §2.4; D5 U5; reconciliation R-042]

EXHIBIT 7.7 — FTAI'S SHARE, AS FRAMED THREE WAYS, WITH THE DENOMINATOR EACH NEEDS

Framing	FTAI's figure	Denominator	Denominator's source and level	What it does not say
Dollar share of an addressable market	~5% as of 2024	\$22B "total addressable market" for MRE	FTAI release, 26 Feb 2025 (company release); basis of the \$22B not stated	Whether the \$22B is CFM56 only, all three engine types, parts and labour or parts alone
Share of CFM56 shop visits	25% goal	2,300–2,400 visits a year in 2026–2028 (GE via Aviation Week, 2026); ~2,500 peak in 2025–26 (Safran via Aviation Week, c. 2023/24)	OEM statements via trade press	The year by which 25% is targeted; whether an exchange of one module counts as a visit
Module-equivalents against visits	1,200 modules ≈ 400 engines ≈ 17% of a 2,350-visit year; 3,000 modules ≈ 1,000 engines ≈ 43%	2,350 visits (midpoint of GE's range) at three modules per engine	Derived in the research (D2 §3.3)	That modules are sold singly into engines that may also visit other shops, so these are material-throughput shares, not shop-visit shares

Source: FTAI / GlobeNewswire, "FTAI's Strategic Capital Initiative Secures Commitment for \$2.5 Billion of Asset-Level Debt Financing", 26 Feb 2025 (via D7 §2.4); GuruFocus and Quartr coverage of the Q2 2026 call; Aviation Week, "CFM56 Overhaul

Demand Remains Strong, GE Aerospace Says", 2026; Aviation Week, "Safran Sees Leap Aftermarket Emerging By Mid-Decade", c. 2023/24; D2 §3.3. Reconciliation R-006, R-042; E.2 "FTAI share framing". Accessed 2026-10-03.

One arithmetical observation about the first row is worth recording because it is derived from two filed or released numbers and nothing more. Five percent of \$22B is \$1.1B, and the segment's 2024 products revenue was \$1,079.8M. [FTAI release, 26 Feb 2025; FTAI 10-K FY2025 segment table] The release does not say how the 5% was computed, so the closeness of the two figures is noted and not interpreted.

WORKED EXAMPLE 7.6 — WHAT 25% OF CFM56 SHOP VISITS MEANS IN MODULES, UNDER EACH DEFINITION OF A MODULE AND OF AN EXCHANGE

Inputs: 2,300–2,400 CFM56 shop visits a year in 2026–2028 (sourced: GE via Aviation Week, 2026; the earlier Safran peak of about 2,500 is the alternative, sourced c. 2023/24); three modules per engine (sourced: FTAI release, 26 Feb 2025); four major modules including the gearbox (sourced: Part I §3.2); 1.5 modules exchanged per shop-visit event (one dossier's labelled assumption, D7 §5.2; FTAI discloses no modules-per-event ratio); capacity of 3,000 modules (call coverage) and the 2026 targets of 1,050 and 1,200.

25% of visits = 575–600 visits a year (on GE's range); 625 on Safran's 2,500
 if every one of those visits consumed a full engine's modules:
 at 3 per engine: 1,725–1,800 modules a year
 at 4 per engine: 2,300–2,400 modules a year
 if each visit consumed 1.5 modules (assumed): 863–900 modules a year
 against capacity of 3,000 (call coverage):
 58–60% utilised at 3 per engine; 77–80% at 4; 29–30% at 1.5
 against the 3-per-engine requirement of 1,725:
 1,050 ÷ 1,725 = 61%; 1,200 ÷ 1,725 = 70%

So "25% of shop visits" could require anywhere from about 860 to about 2,400 modules a year depending on how many modules a visit consumes, a figure FTAI does not disclose; at FTAI's own three-per-engine convention and a full set per visit it is 1,725 to 1,800, which the stated 3,000-module capacity exceeds and the 2026 targets fall short of. The target year for the 25% is unknown, and the visit count itself is a plateau that forecasters have peaking in 2027 and 2028 and fading afterwards (Part III §23; Part IV §26). Limits of the example: the 1.5-modules-per-event figure is an assumption from another dossier; an exchange of one module may or may not be counted by FTAI as a share of a "visit"; the 3,000 and 1,200 figures are call coverage; and the visit count carries its own tension (R-006). [D2 §3.3; D5 U5; D7 §5.2; reconciliation R-006, R-035, R-042]

50. Facilities and partners: Montréal, Miami, Rome, Lisbon, Orange, Bristol, Indonesia, Egypt

The 10-K's summary sentence is the frame for this section: "The Company conducts engine maintenance at its 100% owned facilities in Montréal, Miami, Lisbon, and Orange, as well as through its 50% equity ownership in QuickTurn Europe, located in Rome, and 50% equity ownership in Prime Engine Accessories, located in Bristol. Collectively, these facilities span over one million square feet and are equipped with advanced tooling, engine test cells, and engineering capabilities to support a wide range of component repairs and service requirements".

[FTAI 10-K FY2025] Each site gets a subsection with every date, price and size the research found and a statement of what it did not.

EXHIBIT 7.8 — FTAI'S MAINTENANCE SITES AND CAPACITY PARTNERS: OWNERSHIP, DATES, PRICES, SIZES AND STATED CAPACITY

Site	What it is	Ownership and accounting	Date	Price	Size	Stated capacity	Source
Montréal, Canada	Former Lockheed Martin Commercial Engine Solutions (LMCES); home of the Module Factory	100%, consolidated	Closed 9 Sep 2024	\$170.0M total consideration	526,000 sq ft (release); "500,000" (10-K)	"up to 300 shop visits per year" (2022 language); with Miami, 1,350 modules and >500 tests (Sep 2024)	GlobeNewswire 9 Sep 2024; Aviation Week; 10-K

Site	What it is	Ownership and accounting	Date	Price	Size	Stated capacity	Source
Miami, Florida	"QuickTurn" engine maintenance business	100%, consolidated	Assets of iAero Thrust acquired 4 Jan 2023 with Unical Aviation as JV partner; Unical's remaining interest bought 1 Dec 2023	\$30.3M cash for Unical's remaining interest; initial price not retrieved	Not retrieved	Included in the 1,350 (Sep 2024)	GlobeNewswire 1 Dec 2023; 10-K
Rome Fiumicino, Italy	QuickTurn Europe, former IAG Engine Center	50%, equity method; carrying value \$9,987K at 31 Dec 2025	Announced 26 Feb 2025; closed 5 Jun 2025	\$10.5M for 50%	200,000 sq ft	450 modules (150 engines) a year, taking FTAI to 1,800 modules (600 engines) and >600 tests	GlobeNewswire 26 Feb 2025 and 5 Jun 2025; 10-K
Lisbon, Portugal	Maintenance facility	100% (10-K)	Not retrieved; "still ramping" on the Jul 2026 call	Not retrieved	"113,000 sq ft" (chain map from call coverage, unverified)	"300+ modules/yr" (same, unverified)	10-K; Quarterly Q2 2026 summary; chain map
Orange	Maintenance facility; the notes add "(California)" without a source	100% (10-K)	Not retrieved	Not retrieved	Not retrieved	Not retrieved	10-K; orchestrator notes

Site	What it is	Ownership and accounting	Date	Price	Size	Stated capacity	Source
Bristol, Connecticut	Prime Engine Accessories, "an industry-leading MRE repair facility for accessory parts", with Bauer, Inc.	50%, equity method; carrying value not returned	Expected operational "by the end of this year" (Q3 2025 call, i.e. end-2025)	Not retrieved	Not retrieved	"up to \$75,000 in average savings per shop visit"	Insider Monkey Q3 2025 transcript; 10-K
Indonesia	Partnership with GMF AeroAsia (Garuda's maintenance arm)	Partnership; form not retrieved	Referenced on the Jul 2026 call as a 2026 capacity partnership	Not retrieved	Not retrieved	Included in the 3,000 (call coverage)	GuruFocus and Quartr, Q2 2026 call
Egypt	Partnership with EgyptAir Maintenance & Engineering	Partnership; form not retrieved	Same	Not retrieved	Not retrieved	Same	Same
All sites	n/a	n/a	n/a	n/a	"over one million square feet"	n/a	10-K

Source: FTAI Aviation, Form 10-K for FY2025 (facilities sentence; equity-method note via orchestrator notes); GlobeNewswire, "FTAI Aviation Closes the Acquisition of LMCES", 9 Sep 2024; Aviation Week, "FTAI Aviation Snaps Up LMCES For \$170 Million" (title via orchestrator notes); GlobeNewswire, 1 Dec 2023 (Unical interest; via orchestrator notes); GlobeNewswire, FTAI Q4/FY2024 results, 26 Feb 2025; GlobeNewswire, "FTAI Aviation Ltd. Announces Closing of QuickTurn Europe Joint Venture", 5 Jun 2025; Insider Monkey, FTAI Q3 2025 call transcript; GuruFocus and Quartr, Q2 2026 call coverage; chain map. Reconciliation R-038 to R-041; cluster K-12. Accessed 2026-10-03.

50.1 MONTRÉAL: LOCKHEED MARTIN COMMERCIAL ENGINE SOLUTIONS

Montréal is the place the Module Factory language names. From 2022 FTAI ran the programme at Lockheed Martin Commercial Engine Solutions' facility under a third-party arrangement; it then bought the business. The closing release of 9 September 2024 gives total consideration of \$170.0M, a 526,000-square-foot facility, and, with Miami, "capacity for 1,350 CFM56 module overhauls and >500 engine tests per year". [GlobeNewswire, 9 Sep 2024; Aviation Week, title via orchestrator notes] The 10-K rounds the size to about 500,000 square feet; the primer carries both figures. [FTAI

10-K FY2025; reconciliation R-038] An earlier orchestrator entry and one dossier's timeline dated the acquisition to 2023; the release dates the closing to 9 September 2024, the chain map was corrected, and Part X's timeline does not say 2023. [reconciliation R-039; E.1 rule 18] Production at Montréal was planned at "an average of 100 modules per quarter" for 2025. [FTAI release, 30 Dec 2024] The site is also where most of FTAI's unionised workforce sits (§50.8).

50.2 MIAMI: QUICKTURN

Miami is the brand FTAI uses for quick-turn work. The research located the transaction in two steps: on 4 January 2023 FTAI acquired the assets of iAero Thrust together with Unical Aviation as a joint-venture partner, and on 1 December 2023 FTAI bought Unical's remaining interest for \$30.3M in cash. [GlobeNewswire, 1 Dec 2023, via orchestrator notes; FTAI 10-K FY2025] The initial purchase price, the site's size and its own capacity were not retrieved; it is included in the 1,350-module figure of September 2024. [D5 U7] Unical Aviation's own scale as a used-material trader was not retrieved. [D3 U14]

50.3 ROME FIUMICINO: QUICKTURN EUROPE

QuickTurn Europe is "a 200,000 sq ft CFM56 engine MRO facility at Rome Fiumicino Airport", the former IAG (International Airlines Group) Engine Center, held 50% by FTAI. The agreement was announced with the fourth-quarter 2024 results on 26 February 2025 and closed on 5 June 2025 for \$10.5M; the 10-K describes the venture as "established to expand the Company's global engine maintenance capabilities and meet increasing demand for MRE services", and carries the investment at \$9,987 thousand at 31 December 2025. [GlobeNewswire, 26 Feb 2025 and 5 Jun 2025; FTAI 10-K FY2025; orchestrator notes] The release credits it with 450 modules and 150 engines a year. The chain map, and two dossiers that copied it, placed this site in "Rome NY"; the filing and the release place it in Italy, no Part repeats the chain-map entry as fact, and Part XII records the error. [reconciliation R-040; E.1 rule 19] Rome was "still ramping" on the July 2026 call. [Quartr, Q2 2026 summary]

EQUITY METHOD

Accounting for a stake in another company by carrying the investment at cost plus the investor's share of the investee's earnings, less distributions and eliminations, with that share on one income line and none of the investee's revenue consolidated. The conventional range is roughly 20% to 50%, but the test is significant influence: FTAI's 19% stake in the 2025 Partnership, with its Servicer role, uses it. For this Part the consequence is that Rome's and Bristol's revenue is not inside Aerospace Products' segment revenue; only FTAI's share of their earnings is, and FTAI's Adjusted EBITDA adds back its pro-rata share of theirs. Whether modules produced at Rome are counted in FTAI's module totals was not retrieved. Part VIII §64 carries the full treatment. [D5 §2.6, U10; D7 §2.5; D10 §2.4; registry C-9]

50.4 LISBON: WHAT IS KNOWN AND WHAT IS NOT

The FY2025 10-K lists Lisbon among the company's 100%-owned maintenance facilities, and the July 2026 call described it as "still ramping". [FTAI 10-K FY2025; Quartr, Q2 2026 summary] That is the extent of the primary-source record. The chain map, drawing on call coverage, recorded a "planned 113,000 sq ft" site at "300+ modules/yr", and one dossier carried it as planned while the filing lists it as owned; the research marked the size and capacity "unverified against a primary source" and this primer labels them so wherever they appear. [chain map; D2 §3.3; reconciliation R-041; E.1 rule 2] The opening date, the deal terms and the site's nature (engine shop, module shop or component repair) were not retrieved. [D5 U7]

50.5 ORANGE: WHAT IS KNOWN AND WHAT IS NOT

Orange appears in the 10-K's list of 100%-owned maintenance facilities and nowhere else in the research. [FTAI 10-K FY2025] The orchestrator's notes add "(California)" as a location without citing a source; the nature of the site, its size, its acquisition date and its price were not retrieved. [orchestrator notes; D5 U7; cluster K-12] The primer does not describe what it does.

50.6 BRISTOL, CONNECTICUT: PRIME ENGINE ACCESSORIES

Prime Engine Accessories is a 50/50 joint venture with Bauer, Inc., described on the third-quarter 2025 call as "an industry-leading MRE repair facility for accessory parts" and "expected to deliver up to \$75,000 in average savings per shop visit", with operations expected "by the end of this year", meaning the end of 2025. [Insider Monkey, FTAI Q3 2025 call transcript] The 10-K lists the 50% equity ownership; the carrying value was not returned. [FTAI 10-K FY2025; orchestrator notes] The accessories in question are the externally mounted units of Part I §3.1, the gearbox-driven pumps and controls, which are repaired as components rather than overhauled with the gas path. The \$75,000 figure is the only savings lever FTAI has quantified; §52 sets it against the cost of a shop visit.

50.7 INDONESIA AND EGYPT: GMF AEROASIA AND EGYPTAIR

On the second-quarter 2026 call FTAI referred to capacity partnerships with GMF AeroAsia, the maintenance arm of Garuda Indonesia, and with EgyptAir Maintenance & Engineering, both counted within the 3,000-module capacity statement. [GuruFocus and Quartr, Q2 2026 call] Both are airline-owned shops that already overhaul CFM56 engines (Part IV §25), and EgyptAir separately holds a GE TrueChoice overhaul-consulting agreement. [D2 §3.2] The capacity committed, the economics, the duration and the legal form of each partnership were not retrieved, and neither shop's own CFM56 induction capacity was found. [D5 U8; D2 U5]

50.8 THE FOOTPRINT AND THE WORKFORCE

The 10-K says the facilities "span over one million square feet". [FTAI 10-K FY2025] The sizes the research sourced sum to less: 526,000 square feet at Montréal plus 200,000 at Rome is 726,000, and adding Lisbon's unverified 113,000 gives 839,000, so the sites whose sizes were not retrieved (Miami, Orange and Bristol) account for at least 160,000 to 275,000 square feet if the total is taken at one million. That arithmetic is derived here and says nothing about which site holds the balance.

At 31 December 2025 FTAI had 985 full-time employees and independent contractors, of whom 494 were full-time employees in Canada, about 71% of them covered by collective bargaining agreements. [FTAI 10-K FY2025, via orchestrator notes] The first figure mixes employees and contractors and the second counts employees only, so the two are not a split of one total. [reconciliation R-065; E. 1 rule 24] Canada is where Montréal is, so roughly half of FTAI's people and most of its unionised workforce are at the Module Factory's main site; employees by site, and the number of test cells, were not retrieved. [D5 U9; cluster K-13] A search summary attributed "approximately 7,800 people across over 50 facilities" to FTAI; that is StandardAero's profile and never appears in this primer as FTAI's. [D5 T7; reconciliation R-065]

51. The V2500 program

The third engine type in the segment's description is handled on a different model from the two CFM56 variants. Part I §10.1 boxed the engine and FTAI's agreement in short form. This section gives the agreement's terms, what FTAI does with V2500 engines and modules, and the market the programme sits in.

51.1 THE IAE AGREEMENT

On 6 June 2024 IAE AG, the Swiss corporate entity of the IAE consortium, and FTAI announced a five-year EngineWise maintenance services agreement covering "over 100 full-performance restoration shop visits" on V2500 engines. EngineWise is Pratt & Whitney's brand for its aftermarket service agreements (Part IV §28); under it the manufacturer's own network performs the visits. The release states that FTAI "currently owns and is committed to over 140 V2500 engines and looks to grow its portfolio to 200 by 2025", and calls the agreement "one of IAE's largest engine maintenance agreements by number of engines with a non-airline customer".

[RTX / Pratt & Whitney release, 6 Jun 2024; AviTrader, 7 Jun 2024]

EXHIBIT 7.9 — FTAI'S V2500 PROGRAMME: THE AGREEMENT'S TERMS AND THE MARKET AROUND IT

Item	Figure	Source and level	Date
Agreement term	Five years	RTX release (OEM release)	6 Jun 2024
Scope	"over 100 full-performance restoration shop visits" in IAE's EngineWise network	RTX release	6 Jun 2024
FTAI's V2500 fleet at signing	"owns and is committed to over 140 V2500 engines"	RTX release	6 Jun 2024
Stated fleet target	200 by 2025	RTX release	6 Jun 2024
Visits implied per year	≈20 (100 ÷ 5), derived	n/a	n/a
Visits completed to date; current fleet	Not retrieved	D5 U6	n/a
In-house V2500 module work	Not retrieved	D5 U6	n/a
V2500 in service	5,286 in 2023 (5,260 -A5, 26 -A1)	Aviation Week 2023 Fleet & MRO Forecast (trade press)	2023
V2500 in service, alternative	">13,000 units" mid-2026	MarketIntelto (market-research vendor page, flagged low grade)	2026
V2500 shop visits, 2025	"slightly more than 800"; 2026 within about 20 of that	RTX CFO via Aviation Week (OEM via trade press)	2026
V2500 shop visits, 2025, forecast	Spike to ≈1,400; >7,800 overhaul and 3,142 LLP-related visits over ten years	Aviation Week V2500 data tool (trade press)	2023
Largest independent on the engine	MTU Maintenance performed 38% of all V2500 shop visits in 2024; 7,000th -A5 visit in 2025	MTU Aero Engines release	2025
Heavy shop visit cost	\$2–3M "depending on the LLP profile"	Aircraft Commerce Issue 70 (trade press)	2010
Full LLP set at list	\$1.7M	Aircraft Commerce Issue 70	2010
PMA on the engine	Chromalloy FAA-approved V2500 HPT blade, unveiled at MRO Europe	Aviation Week (trade press)	Date not captured

Source: RTX / Pratt & Whitney, "IAE AG and FTAI Aviation Sign Strategic V2500 Engine Maintenance Services Agreement", 6 Jun 2024, <https://www.rtx.com/en/prattwhitney/newsroom/news/2024/06/06/iae-ag-and-ftai-aviation-sign-strategic-v2500->

engine-maintenance-services-agreem ; AviTrader, 7 Jun 2024; Aviation Week, "Data Tool: The Future Of IAE V2500 Engine", 2023; Aviation Week, "Pratt & Whitney Sees High-Single-Digit MRO Growth This Year", 2026; MTU Aero Engines release, 2025; Aircraft Commerce Issue 70, 2010; Aviation Week, "Chromalloy Unveils FAA-Approved V2500 HPT Blade"; MarketIntel, 2026. Reconciliation R-009, R-010; D5 §2.5, U6. Accessed 2026-10-03.

51.2 WHAT FTAI DOES WITH V2500 ENGINES AND MODULES

Functionally the V2500 programme is the reverse of the Module Factory. On the CFM56, FTAI is the shop: it holds the inventory, does the work and sells the module. On the V2500, FTAI is the customer: a large engine owner buying manufacturer-network restorations at a negotiated price for a committed volume, then leasing or selling the restored engines and selling V2500 material. [D5 §2.5] Two things connect the programme to the rest of the segment. First, the MRE Contract definition names "CFM56-5B, CFM56-7B and V2500 engines and related modules" as what FTAI sells to the 2025 Partnership's vehicles, so V2500 engines restored under the IAE agreement are among the units the Partnership's A320ceo aircraft can draw on. [FTAI 10-Q Q2 2026, via orchestrator notes] Second, the Module Factory language names only the two CFM56 variants; whether FTAI performs any V2500 module work in-house, how many of the 100-plus visits have been completed, and the current V2500 fleet against the 200 target were not retrieved. [D5 U6] Chromalloy's FAA-approved V2500 high-pressure-turbine blade is a parts input that could bear on the cost of a V2500 restoration; FTAI's statements on it were not retrieved. [Aviation Week, MRO Europe; D5 §2.5]

51.3 THE MARKET CONTEXT

The V2500 pool is about a quarter the size of the CFM56 pool: 5,286 engines in service in 2023 against roughly 23,000 to 24,000 CFM56s (Part I §10.1; Part III §18). [Aviation Week 2023 Fleet & MRO Forecast; reconciliation R-010] Its shop-visit count carries a direct contradiction that the primer carries in both Parts IV and VII: Aviation Week's data tool projected a spike to about 1,400 visits in 2025, and RTX's chief financial officer, reported by the same publication in 2026, put 2025 at "slightly more than 800" with 2026 expected within about 20 of that. [Aviation Week data tool, 2023; Aviation Week, 2026; reconciliation R-009; E.1 rule 16] Against either figure, FTAI's roughly 20 committed visits a year is a small share: about 2.5% of 800 or 1.4% of 1,400, derived. The largest independent on the engine, MTU Maintenance, performed 38% of all V2500 visits in 2024. [MTU Aero Engines, 2025] Part III §24's translation table assigns the V2500 its demand drivers: the grounding of geared-turbofan-powered A320neos pushed A320ceo utilisation up and brought V2500 and -5B visits forward, and the easing of those groundings from 2026 is expected to soften that lift later in the decade. [D9 §5] The current cost of a V2500 visit was not retrieved; the only figures are fifteen years old and are not set beside the 2026 CFM56 figures of Part I §7. [Aircraft Commerce Issue 70, 2010; D1 U13]

52. PMA and the CFM materials agreement within the segment

Part VI owns the mechanics of approved alternative parts: the four approval bases (§37), the hot-section problem (§38), European acceptance (§39), the makers (§41), acceptance by airlines and lessors (§42) and the FTAI–Chromalloy venture as filed and as reported (§43). This section carries only what bears on the segment: FTAI's own statements about margin levers, the approvals as they affect FTAI's parts bill, and the agreement with CFM.

52.1 FTAI'S STATEMENTS ON THE LEVERS

On the fourth-quarter 2025 call on 26 February 2026, asked how the segment's margin would move from the mid-30s toward 40%, the chief executive, Joe Adams, "cited approval of a PMA high-pressure turbine blade as a key factor, along with expanded access to lower-cost parts supply, including used serviceable material and a materials agreement with CFM that includes parts and repairs". The company said it "can approach 40% aerospace margins in 2026 via parts approvals, lower-cost supply and expanded repair capabilities". [MarketBeat, Q4 2025 call highlights, 26 Feb 2026; Motley Fool transcript, 26 Feb 2026] Those are three levers on one line of the cost build of Part I §7: material, which is 60 to 70% of a shop visit and most of which is priced off the manufacturer's catalogue. [Air Cargo Week, 2025/26]

EXHIBIT 7.10 — THE THREE MATERIAL LEVERS MANAGEMENT NAMED, WHAT EACH SUBSTITUTES FOR, AND WHAT IS DISCLOSED ABOUT EACH

Lever	Substitutes for	What FTAI has disclosed	What third parties say	Not retrieved
PMA high-pressure-turbine blade (Chromalloy venture)	New OEM high-pressure-turbine (HPT) blades, which with vanes are 15–25% of a shop visit's parts cost (consultancy blog)	"develops and manufactures PMA parts through a joint venture" (10-K); the blade's approval as "a key factor" (Q4 2025 call)	Chromalloy: FAA PMA 30 Oct 2025, "the only aftermarket alternative to the OEM manufactured new part"; production sold out for 2025, slots reserved into 2026. Investor blogs: a 2018 "exclusive perpetual partnership", five hot-section parts "at cost", "up to \$2 million per shop visit", "5–10 percentage points of additional margin"	Partner, ownership and accounting of the venture in the filings; the PMA share of parts FTAI consumes; the saving per module; the price discount to the OEM blade (D4 U2; D5 U11)

Lever	Substitutes for	What FTAI has disclosed	What third parties say	Not retrieved
Used serviceable material	New OEM parts generally	"expanded access to lower-cost parts supply, including used serviceable material" (Q4 2025 call); the exclusive serviceable-parts partnership (10-K)	USM trades at 60–80% of a new part's price on average, up to 85% early in a life cycle, above list when the OEM cannot deliver (Aviation Week); traders sell repaired engine USM to airlines at 70–75% of list (Aircraft Commerce). Supply "remains thin" (AVM, Aviation Maintenance magazine, 2025) because retirements are low	FTAI's USM share of content; the AAR agreement's terms
CFM materials agreement (22 Jan 2026)	Third-party or spot sourcing of OEM parts and repairs	Multi-year; FTAI "secures OEM replacement part supply, thrust performance upgrades and component repair" (release); "includes parts and repairs" (call)	None located	Duration, volumes, pricing, and whether it restricts FTAI's use of PMA (D4 U14; D5 U18)
Accessory repair (Bristol venture)	Outsourced accessory repair	"up to \$75,000 in average savings per shop visit" (Q3 2025 call)	None located	Volumes; carrying value

Source: MarketBeat and Motley Fool, FTAI Q4 2025 call coverage, 26 Feb 2026; Insider Monkey, Q3 2025 call transcript; FTAI 10-K FY2025; Chromalloy, "Chromalloy Secures FAA Approval of CFM56 High Pressure Turbine Blade PMA", 30 Oct 2025; Komodo Capital and Kairos Research (investor blogs) and In Practise (interview digest), via D4 §4.3; FTAI / GlobeNewswire, "FTAI Aviation Announces Multi-Year Materials Agreement with CFM International to Further Support CFM56 Engines", 22 Jan 2026; Aviation Week and Aircraft Commerce Issue 120 via D3 §2.5; AVM, 2025, via D2 §2.4; Safe Fly Aviation, 2026 (consultancy blog). Reconciliation R-022, R-025 to R-027; clusters K-04, K-19. Accessed 2026-10-03.

52.2 THE CHROMALLOY APPROVALS AS THEY BEAR ON FTAI

The high-pressure turbine is the module that most often drives a shop visit and the most expensive to restore; its blades and vanes are 15 to 25% of a visit's parts cost on a consultancy

blog's figures, and most of an engine's lost temperature margin is recovered there (Part I §3.1 and §5). [Safe Fly Aviation, 2026; D5 §2.7] An approved non-OEM blade therefore changes the parts bill of exactly the module FTAI's exchanges most often replace. Chromalloy's FAA approval of a CFM56-5B/7B high-pressure-turbine blade on 30 October 2025 is described by Chromalloy as "the only aftermarket alternative to the OEM manufactured new part"; Chromalloy said its order backlog would consume all production for the rest of 2025 with customers "seeking to reserve production slots into 2026". [Chromalloy release, 30 Oct 2025, via Newswire; AviTrader, 31 Oct 2025]

How many CFM56 parts Chromalloy has approved depends on which reading of its releases is taken. One dossier counts three announced approvals (the HPT blade, the HPT stage-1 vane and an LPT vane up-change); another reads the 30 October 2025 release as saying Chromalloy "now offers four PMA parts on the CFM56-5B/7B: the HPT blade, the HPT nozzle guide vane, the LPT stage-1 nozzle guide vane and the HPT shroud", the LPT being the low-pressure turbine. [D4 §4.2; D5 §2.7; reconciliation R-025; E.1 rule 33] Both readings are carried. Part VI §41 and §43 give the roster, the dates and the investor-blog claims that the venture was formed in 2018 as an "exclusive perpetual partnership" covering five hot-section parts supplied to FTAI "at cost". [Komodo Capital; Kairos Research; In Practise, via D4 §4.3; reconciliation R-026]

What FTAI's filings say about the venture is one clause: FTAI "develops and manufactures PMA parts through a joint venture". [FTAI 10-K FY2025] The filings' equity-method note lists an "Advanced Engine Repair JV", 25% owned, with \$15.0M invested in December 2016 and \$13.5M more in August 2019 and a carrying value of \$22,429 thousand at 31 December 2025. Whether that venture is the Chromalloy PMA joint venture is unknown; the dates (2016 against the blogs' 2018) do not match, and this primer reports the figures as an equity-method investment without equating the two. [FTAI 10-K FY2025, via orchestrator notes; reconciliation R-026; registry 1c] No PMA revenue, no equity-method earnings line for the venture and no FTAI-stated saving per module were retrieved. [D5 U11; D4 U3; cluster K-04]

52.3 THE CFM MATERIALS AGREEMENT

CFM MATERIALS AGREEMENT

A multi-year agreement between FTAI and CFM International announced on 22 January 2026 under which, in the release's words, FTAI "secures OEM replacement part supply, thrust performance upgrades and component repair" for CFM56 engines. The chief executive described it on the 26 February 2026 call as "a materials agreement with CFM that includes parts and repairs" and named it, with the PMA blade and more used material, as a lever toward segment margins approaching 40%. Its duration, volumes, pricing and any restriction on FTAI's use of PMA parts were not disclosed. Part VI §42 places it among the OEM's responses to alternative parts. [FTAI / GlobeNewswire, 22 Jan 2026; MarketBeat, 26 Feb 2026; D4 §4.3, U14; D5 §2.7, U18; cluster K-19]

The agreement sits oddly beside the PMA lever only at first sight. The two address different parts of the bill. No alternative manufacturer makes a life-limited part for the CFM56, so every new disk, spool and shaft is a single-source purchase from CFM at catalogue price (Part I §4.4; Part VI §38). [D4 U7] Thrust-rating upgrades, which turn a low-rated engine into a higher-rated one worth more, are sold only by the manufacturer (Part I §1). [D3 §2.4] And the manufacturer's own repairs, of which CFM says it has "industrialized about 400 CFM56 repairs since early 2023", are an input any shop buys. [CFM International, via D4 §2.7] GE's stated posture is that it will "continue to strengthen MRO access to OEM materials to support further CFM56 longevity" within "an open network ... with multiple providers who compete and invest to win shop visits". [GE Aerospace, 2026, via D2 §2.3] Ryanair's "long-term materials agreement" covering about 2,000 CFM56 and LEAP engines is the other named example of such an agreement, under GE's TrueChoice Material brand (Part IV §28). [GE 10-K FY2025, via D2 §2.3] The terms of FTAI's agreement were located as a release title and not read. [D4 [23]; D8 §2.7]

WORKED EXAMPLE 7.7 — THE ONE QUANTIFIED SAVING, AND THE ONE CLAIMED, AGAINST BOTH SHOP-VISIT COST RANGES

Inputs: "up to \$75,000 in average savings per shop visit" from the Bristol accessories venture (sourced: FTAI Q3 2025 call via Insider Monkey); "up to \$2 million per shop visit" from the Chromalloy venture's five parts (sourced as an investor-blog figure, not an FTAI statement: Komodo Capital, Kairos Research); a performance restoration at \$1.2–1.6M on one consultancy page and \$1.8–2.5M on another (sourced: Safe Fly Aviation, consultancy blog, 2026; both ranges carried under E.1 rule 4); HPT blades and vanes at 15–25% of parts cost (sourced: Safe Fly Aviation).

Bristol, \$75,000 against \$1.2–1.6M: 4.7% to 6.3% of the visit
 Bristol, \$75,000 against \$1.8–2.5M: 3.0% to 4.2% of the visit
 blog figure, \$2.0M against \$1.2–1.6M: 125% to 167% of the visit
 blog figure, \$2.0M against \$1.8–2.5M: 80% to 111% of the visit
 HPT blades and vanes at 15–25% of the visit:
 \$0.18–0.40M on the lower range; \$0.27–0.63M on the upper

So the one saving FTAI has quantified is a few percent of a restoration's cost on either range, and the figure third parties attribute to the PMA venture is the size of the whole restoration or larger on either range, and several times the consultancy's estimate of what high-pressure-turbine blades and vanes cost in a visit. The primer records that the two figures sit at different source levels (a management statement against investor blogs) and that neither the price of a Chromalloy blade nor its discount to the OEM's was retrieved, and stops. Limits of the example: both cost ranges are contested consultancy figures; the HPT share is from the same consultancy; the blog saving may count parts beyond the blade and may describe a full engine rather than one module; and FTAI's own saving per module is unknown (D5 U11). [reconciliation R-013, R-015, R-027; E.1 rules 4 and 33]

53. Segment financials: revenue, cost of sales, Adjusted EBITDA, inventory

This section assembles every segment figure the research retrieved: the annual table from the 10-K for 2022 to 2025, the quarters of 2025 and 2026, the two cost-of-sales figures with their scopes, a derived gross margin, the inventory and its consequence for cash flow, capital expenditure where disclosed, the geographic split and customer concentration. It closes with the two listed companies the peer research chose as comparison points, each on its own basis.

53.1 THE MEASURES

ADJUSTED EBITDA (SHORT FORM)

Earnings before interest, taxes, depreciation and amortisation, further adjusted by the company to remove items it treats as non-recurring or non-cash and to add back its pro-rata share of Adjusted EBITDA from equity-method investments. FTAI reports it consolidated (\$597.3M in 2023, \$862.1M in 2024, \$1,190.9M in 2025) and by segment, and sets its guidance in it. The exact FY2025 definition and reconciliation were not retrieved. Part X §80 carries the full treatment. [FTAI 10-K FY2025 segment table, via orchestrator notes; D10 §2.5, U-1]

SEGMENT ADJUSTED EBITDA

FTAI's non-GAAP profit measure reported for each segment: Aerospace Products \$160.0M for 2023, \$380.6M for 2024 and \$671.3M for 2025, and \$249.7M in the second quarter of 2026. It includes the profit on MRE Contract revenue (before the equity-method elimination, which runs through a different line) and FTAI's share of the Rome and Bristol ventures. StandardAero reports a "Segment Adjusted EBITDA" on its own definition, MTU and Lufthansa Technik report adjusted EBIT (earnings before interest and taxes, after depreciation), GE reports segment profit; none is interchangeable with FTAI's. Part X §80 owns the definition; Part XI §88 the comparison bases. [FTAI 10-K FY2025 segment table; FTAI release, 29 Jul 2026; D5 §2.8; D11 §2.3]

53.2 THE ANNUAL TABLE

EXHIBIT 7.11 — AEROSPACE PRODUCTS SEGMENT REVENUE AND ADJUSTED EBITDA, 2021 TO 2025, WITH THE CONSOLIDATED TOTALS (\$ THOUSANDS UNLESS STATED)

Line	2021	2022	2023	2024	2025	Source
Aerospace products revenue	"70,800" (unconfirmed; see note)	85,113	454,970	1,079,821	1,600,456	FY2022 10-K (2021–22); FY2025 10-K segment table (2023–25)
MRE Contract revenue	n/a	n/a	0	0	335,788	FY2025 10-K
Segment revenue (sum)	n/a	85,113	454,970	1,079,821	1,936,244	Derived; 2025 total matches the 10-K geographic table
Segment Adjusted EBITDA	not retrieved	27,377	160,009	380,636	671,252	FY2022 10-K; FY2025 10-K
Segment Adjusted EBITDA margin on segment revenue (derived)	n/a	32.2%	35.2%	35.2%	34.7%	Derived
Segment revenue growth (derived)	n/a	n/a	+435%	+137%	+79% (segment); +48% (products line alone)	Derived

Line	2021	2022	2023	2024	2025	Source
Segment Adjusted EBITDA growth (derived)	n/a	n/a	+484%	+138%	+76% (the release's figure)	Derived; FTAI release 25 Feb 2026
Consolidated total revenues	n/a	n/a	1,170,896	1,734,901	2,507,409	FY2025 10-K
Consolidated Adjusted EBITDA	n/a	n/a	597,282	862,050	1,190,922	FY2025 10-K
Segment share of consolidated Adjusted EBITDA (derived)	n/a	n/a	26.8%	44.2%	56.4%	Derived
Aviation Leasing Adjusted EBITDA, for scale	n/a	107,556	not retrieved	500,062	608,912	FY2022 and FY2025 10-Ks

Source: FTAI Aviation, Form 10-K for FY2025, filed 27 Feb 2026, segment table (via orchestrator notes), <https://www.sec.gov/Archives/edgar/data/1590364/000162828026012940/ftai-20251231.htm> ; Form 10-K for FY2022, <https://www.sec.gov/Archives/edgar/data/1590364/000159036423000007/ftai-20221231.htm> ; FTAI Q4/FY2025 results release, 25 Feb 2026. Note on 2021: the search of the FY2022 10-K returned "70,800" three times (Aerospace Products revenue 2021, and Adjusted EBITDA 2021 for both segments); the orchestrator flagged the repetition as a probable extraction artefact and the 2021 segment Adjusted EBITDA as not retrieved, so the 2021 revenue figure is shown as unconfirmed. 2021 and 2022 include the infrastructure businesses spun off in August 2022 in discontinued operations and are not comparable with 2023 onward at the consolidated level. Derivations here and in D5 §2.8. Reconciliation cluster K-17; B-2. Accessed 2026-10-03.

Two independent readings agree on the 2024 figures. One dossier derived 2024 products revenue of \$1,079.8M from the 10-K's statement that 2025 revenue rose by \$520.6M, and derived Adjusted EBITDA of about \$381M from the release's "+76%"; the orchestrator's search of the segment table returned \$1,079,821 thousand and \$380,636 thousand. [reconciliation B-2] The segment grew from \$85.1M of revenue in 2022 to \$1,936.2M in 2025, and its Adjusted EBITDA from \$27.4M to \$671.3M; its share of the company's Adjusted EBITDA rose from about a quarter in 2023 to more than half in 2025. The margin on segment revenue has sat between 32% and 35% in each of the four years for which both figures exist. [FTAI 10-K FY2022 and FY2025]

53.3 THE QUARTERS

EXHIBIT 7.12 — AEROSPACE PRODUCTS BY QUARTER, 2025 TO 1H 2026: REVENUE, MRE CONTRACT REVENUE, ADJUSTED EBITDA AND MARGIN, WITH DERIVED FIGURES LABELLED

Period	Products revenue	MRE Contract revenue	Segment revenue	Segment Adjusted EBITDA	Margin (derived unless stated)	Modules produced	Source
Q2 2025	≈\$422.0M (derived)	\$69.6M	≈\$491.6M (derived: 875.0 ÷ 1.78)	≈\$165.4M (derived: 249.7 ÷ 1.51)	≈33.6%	184	Q2 2026 release (+78%, +51%); Q2 2026 10-Q
Q4 2025	not retrieved	not retrieved	≈\$557M (derived: 195 ÷ 0.35)	\$195M	35% (stated)	228	Q4 2025 call via MarketBeat
FY2025	\$1,600.5M	\$335.8M	\$1,936.2M	\$671.3M	34.7%	757	FY2025 10-K; 25 Feb 2026 release
Q1 2026	\$522.6M	\$221.2M	\$743.8M	\$222.6M	29.9%	≈270 (derived)	Q1 2026 10-Q and release
Q2 2026	\$692.2M (derived)	\$182.8M	\$875.0M (+78% y/y)	\$249.7M (+51% y/y)	28.5%	296	Q2 2026 10-Q and release
1H 2026	\$1,214.8M	\$404.0M	≈\$1,618.8M (derived)	≈\$472.3M (derived)	≈29.2%	566	Q2 2026 10-Q and releases

Source: FTAI Aviation, Q2 2026 results release, 29 Jul 2026 (GlobeNewswire), <https://www.globenewswire.com/news-release/2026/07/29/3335598/35538/en/> ; Form 10-Q for the quarter ended 30 Jun 2026; Form 10-Q for the quarter ended 31 Mar 2026; Q1 2026 results release, 29 Apr 2026; MarketBeat, Q4 2025 call highlights, 26 Feb 2026; Form 10-K for FY2025. Derivations in D5 §2.8 and §4.1. Accessed 2026-10-03.

The margin moved from 35% in the fourth quarter of 2025 to about 29 to 30% in the first half of 2026, over the period in which the related-party share of revenue was highest (\$48.3). The research recorded the two movements side by side and did not infer a link, because the filings disclose neither margin by revenue line nor the composition of the elimination. [D5 §2.8, U2; reconciliation R-047] The reader should also hold in mind that the consolidated figures carry the

segment's related-party profit in two places: in segment revenue and cost of sales, and, with the opposite sign, in the equity-method line (\$48.4).

53.4 COST OF SALES: TWO FIGURES, TWO SCOPES

COST OF SALES (SEGMENT VERSUS CONSOLIDATED)

Two cost-of-sales figures for 2025 exist in the FY2025 10-K. One is \$1,240,368 thousand, which the orchestrator's later reading identified as the Aerospace Products segment's cost of sales in the segment expenses table; one dossier had returned it against a segment query but could not confirm its scope. The other is \$1,349,719 thousand, the consolidated cost-of-sales line, which also carries the carrying value of aircraft and engines the Leasing segment sells. Each is presented with its scope and the two are not interchangeable. [FTAI 10-K FY2025; D5 §2.8, T5; D10 §4.2; orchestrator notes, R-045 resolution; registry C-23]

EXHIBIT 7.13 — COST OF SALES, 2023 TO 1H 2026: THE SEGMENT AND CONSOLIDATED FIGURES, THEIR SCOPES, AND THE MARGINS EACH IMPLIES

Figure (\$ thousands)	Period	Scope	Revenue base	Derived gross margin	Source and caveat
1,240,368	FY2025	Aerospace Products segment cost of sales (segment expenses table, per the orchestrator's reading)	1,936,244 (segment revenue)	35.9%	FY2025 10-K; D5 T5 originally could not confirm the scope
1,160,100 (as \$1,160.1M)	1H 2026	Returned against the same segment query; scope not confirmed	1,618,800 (segment revenue, derived)	28.3%	Q2 2026 10-Q via D5 §2.8; same caveat, not resolved by the notes
1,349,719	FY2025	Consolidated cost of sales, including Leasing asset-sale carrying values	2,507,409 (total revenues)	46.2% (cost of sales 53.8% of revenue)	FY2025 10-K via D10 §4.2
825,884	FY2024	Consolidated	1,734,901	52.4% (47.6%)	FY2025 10-K via D10
502,132	FY2023	Consolidated	1,170,896	57.1% (42.9%)	FY2025 10-K via D10

Figure (\$ thousands)	Period	Scope	Revenue base	Derived gross margin	Source and caveat
1,349,719 – 1,240,368 = 109,351	FY2025	Arithmetic difference between the two scopes	n/a	n/a	Derived here; asset sales revenue for 2025 was 106,945, presented gross with carrying value in cost of sales (D10 §2.4); the 10-K's mapping of the difference was not retrieved

Source: FTAI Aviation, Form 10-K for FY2025 (segment expenses table and consolidated statement of operations, via orchestrator notes and D10 §4.2); Form 10-Q for the quarter ended 30 Jun 2026 (via D5 §2.8). Reconciliation R-045; E.1 rule 10 as modified by the orchestrator's resolution. Accessed 2026-10-03.

WORKED EXAMPLE 7.8 — DERIVED GROSS MARGIN ON EACH COST-OF-SALES FIGURE, AND WHAT EACH MEASURES

Inputs: segment revenue of \$1,936.2M and segment cost of sales of \$1,240.4M for 2025 (sourced: FY2025 10-K, segment scope per the orchestrator's reading); consolidated revenues of \$2,507.4M and consolidated cost of sales of \$1,349.7M (sourced: FY2025 10-K); 1H 2026 segment revenue of \$1,618.8M (derived) and cost of sales of \$1,160.1M (sourced: Q2 2026 10-Q, scope unconfirmed); segment Adjusted EBITDA of \$671.3M for 2025 (sourced).

$$\begin{aligned}
 &\text{segment gross margin, 2025} = (1,936.2 - 1,240.4) \div 1,936.2 = 35.9\% \\
 &\quad \text{(derived)} \\
 &\text{segment gross margin, 1H 2026} = (1,618.8 - 1,160.1) \div 1,618.8 = 28.3\% \\
 &\quad \text{(derived; scope unconfirmed)} \\
 &\text{consolidated gross margin, 2025} = (2,507.4 - 1,349.7) \div 2,507.4 = 46.2\% \\
 &\quad \text{(derived; mixes leasing rent, which has no cost of sales, with product sales)} \\
 &\text{segment Adjusted EBITDA margin, 2025} = 671.3 \div 1,936.2 = 34.7\% \\
 &\text{gap between gross margin and Adjusted EBITDA margin, 2025} = 35.9\% - 34.7\% \\
 &\quad = 1.2 \text{ points}
 \end{aligned}$$

So on the segment figures the gross margin and the Adjusted EBITDA margin for 2025 are within about one point of each other, which is consistent with a segment whose costs below cost of sales are small and whose Adjusted EBITDA adds back items (the equity-method share, any depreciation inside the segment) that are not in cost of sales; the filings do not give the segment's operating expenses, so the 1.2 points cannot be decomposed here. The consolidated margin is not a product margin: lease income of \$235.2M and maintenance revenue of \$218.5M have no cost-of-sales entry, which lifts the consolidated figure above the segment's. Limits of the example: the 1H 2026 cost-of-sales scope is unconfirmed; the 2025 segment scope rests on the orchestrator's reading of the segment

expenses table; and gross margin here includes the fair value of returned cores in revenue (\$47.2).
[D5 §2.8, T5; D10 §2.4, §4.2; orchestrator notes; reconciliation R-045]

53.5 INVENTORY, CASH FLOW AND CAPITAL EXPENDITURE

INVENTORY (THE MODULE FACTORY'S WORKING CAPITAL)

Serviceable modules and parts awaiting exchange or sale, plus unserviceable engines, modules and parts in work: \$1,364.3M net at 31 March 2026. Under US accounting, cash spent buying assets for sale is an operating outflow and cash spent buying assets for lease is an investing outflow, so the inventory build is why FTAI's operating cash flow was negative in 2024 and 2025 while the company reported net income. The balances at 31 December 2025 and 30 June 2026, the segment's capital expenditure and the cost of building a module were not retrieved. Part X §81 carries the consolidated cash-flow treatment. [FTAI 10-Q Q1 2026, via D5 §2.8; D10 §2.6; D5 U12; cluster K-18]

Net cash from operating activities was \$128,982 thousand in 2023, negative \$187,956 thousand in 2024 and negative \$310,745 thousand in 2025. [FTAI 10-K FY2025, via D10 §4.4] The working-capital detail that would show how much of the 2025 outflow was inventory, and the investing lines that would show capital spending on the shops, were not retrieved; the research recorded both as open. [D10 U-2; D5 U12] What can be said is structural. Every exchange requires a serviceable module in stock, every serviceable module began as an unserviceable one that cost money to acquire and repair, and the stand-ready obligations of §48.2 require a pool of serviceable whole engines as well. The inventory of \$1.36B at March 2026 against segment revenue of \$1.94B for 2025 is the visible size of that pipeline. [D5 §5] Segment capital expenditure was not disclosed in anything retrieved; the facility purchases of \$50 (\$170.0M for Montréal, \$30.3M for Unical's Miami interest, \$10.5M for half of Rome) are acquisitions rather than capital spending on existing sites and are the only investment figures the research holds. [D5 U12; orchestrator notes]

53.6 GEOGRAPHY AND CUSTOMER CONCENTRATION

EXHIBIT 7.14 — AEROSPACE PRODUCTS REVENUE BY REGION, FY2025

Region	\$ thousands	Share (derived)
North America	1,132,995	58.5%
Europe	415,145	21.4%
Asia	274,618	14.2%
Africa	71,452	3.7%
South America	42,034	2.2%

Region	\$ thousands	Share (derived)
Total	1,936,244	100.0%

Source: FTAI Aviation, Form 10-K for FY2025, segment geographic table, via D5 §4.5. The total equals Aerospace products revenue plus MRE Contract revenue (reconciliation B-1). Accessed 2026-10-03.

The geographic table's total is the arithmetic that fixes segment revenue at \$1,936.2M, and it also shows that the segment's sales, including the related-party line, were almost three-fifths North American in 2025. [FTAI 10-K FY2025; reconciliation B-1] Whether the 2025 Partnership's vehicles are counted as North American was not retrieved. Two customers of the segment accounted for 16% and 11% of revenue in the third quarter of 2025; annual concentration, the customers' identities and whether either is the Partnership were not retrieved. [FTAI 10-Q Q3 2025, via D10 §4.9; D5 U17] The MRE Contract revenue for the second half of 2025 was \$165.6M, derived, against which the two quarterly percentages cannot be tested because third-quarter segment revenue was not retrieved.

53.7 TWO COMPARISON POINTS, EACH ON ITS OWN BASIS

The peer research chose StandardAero and GE Aerospace as the listed companies whose filings isolate the activities a module business performs. [D11 §2.1] Neither sells what FTAI sells, and Part XI §87 to §89 carry the full comparison with every caveat; two facts from each belong here.

StandardAero, an independent engine shop, reported Engine Services revenue of \$5,354.0M for 2025 with Segment Adjusted EBITDA of \$706.9M, a 13.2% margin on its own definition, and described a CFM56-dedicated "Center of Excellence" in Dallas, opened in the second half of 2024, on which it had spent more than \$100M since 2022 to "more than double our shop visit capacity on the CFM56-7B". [StandardAero 10-K FY2025, via D11 §3.6] Its unit is inductions; FTAI's is modules; and StandardAero sells labour and material on a customer's engine while FTAI sells a module it owns, so the 13.2% and FTAI's 34.7% are on the same EBITDA basis but not for the same activity. [D11 §2.3, §3.6; E.1 rule 35]

GE Aerospace's Commercial Engines & Services segment reported 2025 revenue of \$33,314M, of which services were \$25,010M, and segment profit of \$8,861M, a 26.6% margin on GE's own measure; it attributed growth to "increased spare parts volume, internal shop visit volume and worksopes, increased engine deliveries and pricing". [GE 10-K FY2025, via D11 §3.8] GE is at once the supplier of the new parts FTAI's modules consume, the seller of the TrueChoice Transitions exchanges of \$46.5 and the largest provider of used material for its own products; its services revenue is the size of the pool from which the segment's \$1.9B is drawn. [D11 §3.8; D2 §2.3]

54. The Muddy Waters report, the Audit Committee review and the litigation

On 15 January 2025 a short-selling research firm published a report on FTAI whose allegations concern the segment this Part describes. This section states each allegation as the sources that summarised it put it, FTAI's response, the board review and its conclusion in each document's own words, the timing of the annual report, a change of auditor, and the status of the securities class action. Nothing here has been adjudicated, and every party's position is given with its source. The report itself was not read in the research. [D5 U13; reconciliation R-064; E.1 rule 23]

SHORT REPORT, SHORT SELLER AND THE MUDDY WATERS REPORT

A short seller is an investor positioned to profit if a share price falls; a short report is research such an investor publishes after taking that position. Muddy Waters Research published a report on FTAI on 15 January 2025. As third-party summaries and the later securities complaint describe it, the report alleged that one-time engine sales were reported as maintenance revenue, that whole-engine sales were presented as module sales, that margins were inflated, that sales were pushed to intermediaries ahead of demand, and that depreciation on engines not on lease lowered reported cost of sales. FTAI said it "strongly disagrees"; its Audit Committee found the allegations without merit; a securities class action followed. [Benzinga, 15 Jan 2025; Hedge Fund Alpha; law-firm case pages via orchestrator notes; Seeking Alpha, Jan 2025; FTAI 8-K exhibit, Feb 2025; D5 §2.9]

54.1 THE ALLEGATIONS, AS EACH SOURCE STATES THEM

EXHIBIT 7.15 — THE JANUARY 2025 ALLEGATIONS, SOURCE BY SOURCE, AND FTAI'S RESPONSES

Allegation as stated	Source that states it	Source level	FTAI's position and its source
FTAI "has been recording one-time engine sales as Maintenance Repair & Overhaul (MRO) revenue in its Aerospace Products (AP) segment", making the growth "lower quality than investors give the company credit for"	Benzinga, 15 Jan 2025, summarising the report	Trade press summary	FTAI "strongly disagrees with the assertions" (Seeking Alpha, Jan 2025); Audit Committee: allegations "without merit" (8-K exhibit, Feb 2025)

Allegation as stated	Source that states it	Source level	FTAI's position and its source
Muddy Waters "estimates that the majority of FTAI Aviation's adjusted EBITDA in the Aerospace Products segment comes from gains on sales, which is less recurring in nature"	Benzinga, 15 Jan 2025	Trade press summary	Same
"misrepresentation of sales, inflation of Maintenance, Repair, and Overhaul (MRO) margins (and margins in general), channel stuffing, and a few other accounting red flags"	Crossroads Capital letter via Hedge Fund Alpha	Fund letter summarising the report	Same
The company's financials are "highly misleading"	The Fly via TipRanks, Jan 2025	Trade press summary	Same
"one-time engine sales reported as MRO revenue; whole engine sales presented as module sales; depreciation of engines not on lease lowering reported cost of goods sold"	The amended complaint in S.D.N.Y. No. 25-cv-00541, as summarised on law-firm case pages (ktmc.com, rgrdlaw.com)	Pleading, via secondary pages	Defendants' motion to dismiss filed 20 Nov 2025, pending; Q3 2025 10-Q: "the internal investigation concluded that the allegations of misconduct were all without merit"
"whole-engine sales booked as module sales, expense reclassification" between segments	Chain map (orchestrator summary)	Orchestrator	Same
The report "does not appear to consider" the Strategic Capital Initiative	Wolfe Research via The Fly, Jan 2025	Sell-side comment on the report	Not an allegation; recorded because it bounds the report's scope

Source: Benzinga, "What's Going On With FTAI Aviation Stock Today", 15 Jan 2025; Hedge Fund Alpha, Crossroads Capital letter on FTAI; TipRanks / The Fly, "Muddy Waters goes short FTAI, says financials highly misleading" and "FTAI selloff brings very attractive entry point, says Wolfe Research", Jan 2025; law-firm case pages (ktmc.com, rgrdlaw.com) via orchestrator notes; Seeking Alpha, "FTAI Aviation says it strongly disagrees with assertions in Muddy Waters short report", Jan 2025; FTAI Form 8-K exhibit 99.1, Feb 2025; FTAI Form 10-Q for the quarter ended 30 Sep 2025. The report itself was not read (D5 U13). Reconciliation R-064; D5 T6; D10 T-6. Accessed 2026-10-03.

The summaries differ in content, and the primer reports them side by side rather than merging them. [reconciliation R-064; D5 T6] One source stresses engine sales booked as maintenance revenue

and Adjusted EBITDA from gains on sales; another lists misrepresentation of sales, margin inflation and channel stuffing; the complaint adds the depreciation point; the orchestrator's summary adds reclassification of expenses between segments. The report's own wording on expense classification, on which counterparty was alleged to have been stuffed, and on the "other red flags" was not retrieved. [D5 U13]

CHANNEL STUFFING

Recognising sales to intermediaries or related parties ahead of end demand, so that reported revenue runs ahead of what final customers have bought. It appears among the allegations as third parties summarised the report; the counterparty the report named was not retrieved. [Hedge Fund Alpha, Crossroads Capital letter; D5 §2.9, U13]

The allegations map onto the definitions of §47 and the figures of §53. "Engine sales reported as MRO revenue" and "whole engine sales presented as module sales" are the boundary question of §47.4: the filings present engines, modules and parts on one revenue line and do not disaggregate it. [D5 U2] "Depreciation of engines not on lease lowering reported cost of goods sold" concerns where the cost of an engine sits when it moves from the leasing fleet into module inventory, which the 10-K describes as a transfer "when determined to be unserviceable for leasing purposes" (§45.1); the research did not retrieve the accounting for that transfer. [FTAI 10-K FY2025, via D3 §2.7] "Gains on sales" is a term the segment's own disclosures do not use for its product revenue; FTAI books gains on sale in Aviation Leasing (Part VIII §63). [D7 §2.5] None of this resolves anything; it locates each allegation in the vocabulary of this Part.

54.2 FTAI'S RESPONSE AND THE AUDIT COMMITTEE REVIEW

AUDIT COMMITTEE AND THE AUDIT COMMITTEE REVIEW

The board committee of independent directors that oversees financial reporting and the external auditor. On 18 January 2025 FTAI's Audit Committee "determined to begin a review, which included engaging independent advisors, in response to the assertions alleged in the January 15, 2025 report issued by Muddy Waters Research". In February 2025 it announced that the allegations were "without merit". The 10-Q and 10-K later describe the same exercise as an "internal investigation" by "outside counsel and forensic accountants". Part X §85 cross-refers. [FTAI 8-K, Jan 2025; FTAI 8-K exhibit 99.1, Feb 2025; FTAI 10-Q Q3 2025; FTAI 10-K FY2025, via orchestrator notes; reconciliation R-063]

FORENSIC ACCOUNTING

Investigative accounting that tests transactions and records for misstatement, as distinct from the recurring audit of financial statements. The Audit Committee's advisors were described as "independent legal and forensic accounting advisors" in the February 2025 announcement and as "outside counsel and forensic accountants" in the FY2025 10-K. [FTAI 8-K exhibit, Feb 2025; FTAI 10-K FY2025, via orchestrator notes; D10 §2.11]

The documents describe the review in slightly different words, and the primer quotes each with its date rather than fusing them. [reconciliation R-063; E.1 rule 22] The January 2025 8-K: the committee "determined to begin a review, which included engaging independent advisors". [FTAI 8-K, Jan 2025] The February 2025 8-K exhibit: "After a thorough and comprehensive review with the support of independent legal and forensic accounting advisors, the Audit Committee determined that the allegations made against the Company are without merit. The Company expects to file its Form 10-K timely". [FTAI 8-K exhibit 99.1, Feb 2025] One dossier's reading of the same exhibit has the committee "completed its review, conducted by independent legal and forensic accounting advisors ... and determined that the allegations made against the Company are without merit". [D10 §2.11] The Q3 2025 10-Q: "the internal investigation concluded that the allegations of misconduct were all without merit". [FTAI 10-Q Q3 2025, via D10 §2.11] The FY2025 10-K, as the orchestrator's search returned it: an Audit Committee internal investigation, with outside counsel and forensic accountants, into the January 2025 short-seller reports concluded the allegations of misconduct were "all without merit". [FTAI 10-K FY2025, via orchestrator notes] The announcement's date is fixed only by trade coverage: a piece dated 20 February 2025 reported the shares rising on it, which places the announcement on or about 19 February 2025. [StockStory via Wedbush, 20 Feb 2025; D5 §2.9] The committee's detailed findings were not read. [D10 T-6]

54.3 THE FY2024 10-K, A RESTATEMENT QUESTION, AND THE SEC FILE

The company said it expected to file its 2024 annual report on time, and the FY2024 10-K exists on EDGAR (the SEC's public filing database) under accession number 0001590364-25-000006; its exact filing date was not captured. [FTAI 8-K exhibit, Feb 2025; FTAI 10-K FY2024; D5 U14] No restatement was found or referenced in anything the research retrieved. [D5 §2.9] One disclosure change coincides with the period: the FY2025 10-K presents MRE Contract revenue as a separate line from Aerospace products revenue. That coincides with the Strategic Capital Initiative's first full year, and the research found no statement linking the new line to the review; whether FTAI began disclosing engine sales separately from module sales after the review was not determined. [D5 §2.9, U2] An SEC correspondence file dated 27 November 2024, before the report, exists on EDGAR; its subject was not retrieved. [SEC correspondence, 27 Nov 2024; D5 U15]

54.4 THE AUDITOR

Ernst & Young LLP was FTAI's independent registered public accounting firm from 2016 and was ratified for 2024 in the 2025 proxy statement. [FTAI DEF 14A 2025, via D5 §2.9] The FY2025 10-K, as the orchestrator's search returned it, states that Ernst & Young served from 2016 to 2025 and that the Audit Committee engaged KPMG LLP for the 2025 fiscal year effective 17 June 2025, with the auditor's report dated 27 February 2026. [FTAI 10-K FY2025, via orchestrator notes] The notes' own line assigns 2025 to both firms, and which firm signed the FY2025 report was not confirmed; the primer presents the line as written. [reconciliation R-066; E.1 rule 25] The 10-K's internal-control conclusion was not returned. [D10 U-16; cluster K-11] One other change in the period is recorded without any link asserted: on 6 March 2026 FTAI announced a chief financial officer transition, appointing Nicholas McAleese as Chief Financial Officer and Michael Hazan as Chief Accounting Officer in succession to Eun (Angela) Nam, whose departure the release attributes to a role outside aviation. [FTAI release, 6 Mar 2026, via orchestrator notes; reconciliation R-067] Part X §78 carries the officers.

54.5 THE SECURITIES CLASS ACTION

SECURITIES CLASS ACTION AND LEAD PLAINTIFF

A securities class action is a lawsuit brought on behalf of all investors who bought a company's shares in a defined class period, alleging that false or misleading statements inflated the price. The lead plaintiff is the investor the court appoints to direct the action; the deadline to seek appointment falls 60 days after notice of the first complaint. The action against FTAI is S.D.N.Y. No. 25-cv-00541. Part X §85 carries the status. [BFA Law, 12 Feb 2025; orchestrator notes; D5 §2.9]

Law-firm releases announced an investigation on the day of the report and, on 12 February 2025, a securities-fraud class action with a lead-plaintiff deadline of 18 March 2025. [BFA Law via GlobeNewswire, 15 Jan 2025 and 12 Feb 2025] The case is in the United States District Court for the Southern District of New York, No. 25-cv-00541, before Judge Jeannette A. Vargas; the class period runs from 23 July 2024 to 21 January 2025; the defendants filed a motion to dismiss the amended complaint on 20 November 2025, and the motion was fully briefed and pending at the law-firm pages' last update, whose date was not visible. [law-firm case pages, ktmc.com and rgrdlaw.com, via orchestrator notes] The 10-K's own description of the proceeding was not retrieved, and the primer says so. [orchestrator notes; cluster K-11] No derivative suit, settlement or dismissal was found.

EXHIBIT 7.16 — THE REPORT, THE REVIEW, THE FILINGS, THE AUDITOR AND THE LITIGATION: A DATED SEQUENCE

Date	Event	Source
23 Jul 2024	Start of the class period alleged in the securities complaint	Law-firm case pages via orchestrator notes
27 Nov 2024	SEC correspondence file on EDGAR; subject not retrieved	EDGAR; D5 U15
15 Jan 2025	Muddy Waters Research publishes its report; FTAI says it "strongly disagrees"; law firms announce investigations	Benzinga; Seeking Alpha; BFA Law
18 Jan 2025	Audit Committee "determined to begin a review, which included engaging independent advisors"	FTAI 8-K, Jan 2025
21 Jan 2025	End of the alleged class period	Law-firm case pages
12 Feb 2025	Class action notice; lead-plaintiff deadline 18 Mar 2025	BFA Law via GlobeNewswire
On or about 19 Feb 2025	Audit Committee announces the allegations are "without merit"; company expects to file its 10-K timely	FTAI 8-K exhibit 99.1; StockStory via Wedbush, 20 Feb 2025
Feb/Mar 2025	FY2024 10-K filed (accession 0001590364-25-000006); exact date not captured	EDGAR; D5 U14
17 Jun 2025	Audit Committee engages KPMG LLP for FY2025; Ernst & Young had served from 2016	FTAI 10-K FY2025 via orchestrator notes
Q3 2025 10-Q	"the internal investigation concluded that the allegations of misconduct were all without merit"	FTAI 10-Q Q3 2025
20 Nov 2025	Defendants file motion to dismiss the amended complaint in S.D.N.Y. No. 25-cv-00541	Law-firm case pages
27 Feb 2026	FY2025 10-K filed; auditor's report dated the same day; separate MRE Contract revenue line presented	FTAI 10-K FY2025
6 Mar 2026	CFO transition announced (McAleese succeeds Nam)	FTAI release, 6 Mar 2026
As of research date	Motion to dismiss fully briefed and pending; no adjudication	Law-firm case pages (last-update date not visible)

Source: FTAI Aviation Forms 8-K of January and February 2025 (https://www.sec.gov/Archives/edgar/data/1590364/000114036125001452/ef20041894_8k.htm ; https://www.sec.gov/Archives/edgar/data/1590364/000114036125005179/ef20043996_ex99-1.htm); Form 10-Q for the quarter ended 30 Sep 2025; Form 10-K for FY2024 and FY2025; BFA Law releases via GlobeNewswire, 15 Jan and 12 Feb 2025; Benzinga, 15 Jan 2025; Seeking Alpha, Jan 2025; StockStory via Wedbush, 20 Feb 2025; law-firm case pages (ktmc.com, rgrdlaw.com) via orchestrator notes; FTAI release, 6 Mar 2026. Reconciliation R-063, R-064, R-066, R-067; cluster K-11. Accessed 2026-10-03.

55. Worked example: one module exchange versus a full shop visit

This section works the decision an operator faces when one module of a CFM56-7B has run out of life while the others have life left, from the operator's side and then from FTAI's. Every input is labelled sourced or assumed, both consultancy cost sets are shown, and the two spare-engine rents are carried as a pair. The exchange fee, which decides the answer, is unknown, so the example computes the break-even fee rather than a verdict.

55.1 THE SITUATION AND THE TWO OPTIONS

A 737-800 operator has a CFM56-7B whose high-pressure turbine has consumed its temperature margin, so the engine must come off wing (Part I §5), while the fan and booster and the low-pressure turbine have substantial life-limited-part life left (Part I §4). [D5 §2.10] Option A is a conventional performance restoration: the core is opened and restored, the operator pays the shop, waits the turnaround plus any slot wait, and keeps every part of its own engine including the remaining life in the untouched modules. Option B is a module exchange: FTAI removes the expired core module and installs a serviceable one from inventory, the operator pays an exchange fee and gives up its unserviceable core, and the downtime is the swap-and-test interval. [D5 §2.10]

The operator is indifferent when the two all-in costs are equal:

$$F + C_{\text{core}} + T_B \times c = S + T_A \times c$$

so the exchange is cheaper when $(F + C_{\text{core}} - S) < (T_A - T_B) \times c$

where F is the exchange fee, C_{core} the value the operator gives up in the unserviceable core, S the cost of the restoration, T_A and T_B the two downtimes in days, and c the daily cost of covering the engine position. [D5 §2.10] The left side is the exchange premium, which is unknown because F is unknown. The right side is the downtime saving, which the research can bracket. The example therefore computes the right side under every sourced input and states it as the maximum premium at which the exchange is cheaper all-in.

EXHIBIT 7.17 — INPUTS TO THE EXCHANGE-VERSUS-RESTORATION EXAMPLE, EACH LABELLED SOURCED OR ASSUMED, WITH ITS LEVEL AND THE ALTERNATIVE FIGURE

Symbol	Input	Value used	Alternative value	Status	Source and level
S	Performance restoration, excluding life-limited parts	\$1.2–1.6M, midpoint \$1.4M	\$1.8–2.5M, midpoint \$2.15M (Part I's choice)	Sourced, contested	Safe Fly Aviation, 2026, two pages (consultancy blog); reconciliation R-013

Symbol	Input	Value used	Alternative value	Status	Source and level
T_A	Turnaround of the restoration	90 days	75–90 days (consultancy); 90–120 days (trade press, full overhaul)	Sourced, contested	GE Aerospace, 27 May 2026 ("sustaining ~90 days"); Safe Fly Aviation; Aviation Business News, 2025; reconciliation R-019
W	Wait for an induction slot before T_A begins	60–90 days	Up to 180 days	Sourced	Bain, 2024
T_B	Downtime of a module exchange	45 days	FTAI's own figure not retrieved	Sourced for quick-turn visits generally; assumed to apply to an FTAI exchange	Aviation Business News, 2025; D5 U3
c	Daily cost of a spare CFM56-7B	\$3,300 a day ($\approx$ \$100,000 a month $\div$ 30)	\$1,400–1,600 a day (\$42,000–48,000 a month $\div$ 30; may be a green-time rent)	Sourced, contested	IBA, Apr 2024 (appraiser); Safe Fly Aviation, 2026 (consultancy blog); reconciliation R-028
F	Exchange fee	Unknown	Upper bound: revenue per module \$2.11M (FY2025), \$2.34M (Q2 2026), which includes engines, parts and core values	Not sourced	D5 §2.10–2.11; cluster K-01

Symbol	Input	Value used	Alternative value	Status	Source and level
C_core	Value given up in the unserviceable core	Unknown	Part IV §30 brackets the life element of an HPT exchange at about \$0.25M for 10,000 cycles of HPT disk life, or about \$2.0M at a whole-stack \$200 a cycle	Not sourced	D2 §2.5; reconciliation R-016, R-017
L	Life-limited-part life transferred	Settled in F by convention	n/a	Sourced as a convention	D2 §2.5; D3 §2.7

Source: Safe Fly Aviation, "Engine Shop Visit Costs Worldwide 2026", "What determines aircraft engine overhaul costs?" and "CFM56-7B engine availability report 2026" (consultancy blog); GE Aerospace, Bernstein conference presentation, 27 May 2026; Aviation Business News, "Inside the engine MRO supply chain", 2025; Bain, "Get a step ahead of the engine maintenance capacity crunch", 2024; IBA, "It's a 'Lessors' Market", Apr 2024; D2 §2.5; D5 §2.10. Reconciliation R-013, R-019, R-028; E.1 rules 4 and 6. Accessed 2026-10-03.

55.2 THE ARITHMETIC

WORKED EXAMPLE 7.9 — ONE CORE-MODULE EXCHANGE AGAINST A PERFORMANCE RESTORATION: THE DOWNTIME SAVING, THE BREAK-EVEN PREMIUM, AND FTAI'S SIDE OF THE SAME TRANSACTION

Step 1, the downtime saved. Without a slot wait, $T_A - T_B = 90 - 45 = 45$ days (sourced inputs); with the trade-press upper turnaround of 120 days, 75 days. With Bain's slot wait of 60 to 90 days added to the restoration but not to the exchange (assumed: an exchange from inventory does not queue for a slot in the same way; FTAI's own lead time was not retrieved), the saving is 105 to 135 days on a 90-day turnaround and 135 to 165 days on a 120-day one.

saving in days, no slot wait: 45 (90-day turnaround) to 75 (120-day turnaround)

saving in days, with a 60–90 day slot wait:
105–135 (90-day turnaround) to 135–165 (120-day turnaround)

Step 2, the downtime saving in dollars, at each rent. At IBA's rent of about \$100,000 a month, taken as \$3,300 a day (sourced, appraiser, 2024); at the consultancy's \$42,000–48,000 a month, taken as \$1,400–1,600 a day (sourced, consultancy blog, 2026, possibly a green-time rent). The two are not averaged.

no slot wait, IBA rent: $45 \times 3,300 = \$149,000$; $75 \times 3,300 = \$248,000$
 no slot wait, Safe Fly rent:
 $45 \times 1,400-1,600 = \$63,000-72,000$; $75 \times 1,400-1,600 = \$105,000-120,000$
 with slot wait, IBA rent: $105 \times 3,300 = \$347,000$; $165 \times 3,300 = \$545,000$
 with slot wait, Safe Fly rent: $105 \times 1,400 = \$147,000$; $165 \times 1,600 =$
 $\$264,000$

So the downtime saving of one exchange, measured as spare-engine rent avoided, is between about \$63,000 and about \$545,000 depending on which rent, which turnaround and whether a slot wait is counted. That range is the maximum exchange premium ($F + C_{\text{core}} - S$) at which the exchange is cheaper all-in on the rent measure alone.

Step 3, the restoration cost S the premium is measured against. On the lower consultancy range the restoration is \$1.2–1.6M, midpoint \$1.4M; on the upper range \$1.8–2.5M, midpoint \$2.15M (both sourced, contested; Part I §7 uses the upper midpoint and Part IV §30 the lower). The exchange premium is defined relative to S , so the break-even fee is:

break-even $F = S + \text{downtime saving} - C_{\text{core}}$
 on $S = \$1.4\text{M}$: $F^* = 1,400,000 + (63,000 \text{ to } 545,000) - C_{\text{core}} = \1.46M to
 $\$1.95\text{M} - C_{\text{core}}$
 on $S = \$2.15\text{M}$: $F^* = 2,150,000 + (63,000 \text{ to } 545,000) - C_{\text{core}} = \2.21M to
 $\$2.70\text{M} - C_{\text{core}}$

Step 4, what is known about F and C_{core} . FTAI publishes no exchange price list (cluster K-01). The only observable is the segment's products revenue per module produced, \$2.11M for 2025 and \$2.34M for the second quarter of 2026 (derived, §56), which is an upper bound on the average cash fee because the numerator includes whole-engine sales, parts and the fair value of cores received while the denominator counts only CFM56 modules. Those bounds sit inside or above the break-even range on the lower S and below most of it on the upper S , which says only that the figures are of the same order; it does not say which way the comparison goes for any real transaction. C_{core} is the value of the operator's unserviceable core as feedstock, which depends on its remaining life-limited-part life and the condition of its airfoils; Part IV §30 brackets the life element of a high-pressure-turbine exchange at about \$0.25M for 10,000 cycles of disk life, or about \$2.0M if a whole stack's life is priced at \$200 a cycle, on contested list prices.

Step 5, what the operator keeps and gives up besides money. Under Option A the operator keeps every part of its own engine, including the remaining life in the untouched modules, and receives back the same serial-numbered engine with its records intact. Under Option B it receives a core of known remaining life, which may be more or less than its planned run, and the mismatch is settled in F ; and it gives up the core it handed over, whose records and remaining life pass to FTAI. Lessors' return conditions (Part II §13) and any OEM-only clauses (Part VI §42) decide whether an exchanged module with used, PMA or repaired content is acceptable at redelivery; the research did not retrieve current practice (D4 U1).

Step 6, FTAI's side of the same transaction. FTAI books revenue of F plus the fair value of the core it receives, and cost of sales equal to the carrying value of the module it delivered (its acquisition cost plus the parts, labour and overhead spent making it serviceable). The segment's fourth-quarter 2025 Adjusted EBITDA margin of 35% applied to \$2.11M of revenue per module implies about \$1.37M of cost per module (derived in the research, with the same mixing caveat). FTAI's cost of producing the module is where the three material levers of §52 act: used material in place of new, the PMA blade in place of the OEM's, and OEM parts and repairs at whatever terms the CFM materials agreement provides.

Limits of the example: the exchange fee and the core value are unknown, so no verdict is possible; both cost ranges and both rents are contested and never averaged; the 45-day exchange downtime is a trade-press figure for quick-turn visits generally, not FTAI's; an owned spare carries a capital cost rather than a rent, and the aircraft's own lost flying is not counted; whether a slot wait applies to an exchange is assumed; and whether the exchange requires a test-cell run is unverified (D1 U14). [D5 §2.10; D2 §2.5; D1 §2.7; Safe Fly Aviation, 2026; GE Aerospace, 27 May 2026; Aviation Business News, 2025; Bain, 2024; IBA, Apr 2024; reconciliation R-013, R-019, R-028, R-046; cluster K-01]

56. Worked example: revenue and EBITDA per module, and its limits

The one unit figure FTAI's disclosures permit is a ratio of a revenue line to a module count. This section computes it on every period and numerator the research used, states the five limits that make it a bound rather than a price, and shows what the two 2026 targets would imply if the 2026 guidance were spread over them.

REVENUE AND ADJUSTED EBITDA PER MODULE (DERIVED)

Aerospace products revenue divided by modules produced (\$2.11M for 2025; \$1.94M for Q1 2026; \$2.34M for Q2 2026) and segment Adjusted EBITDA divided by modules (\$0.89M; \$0.82M; \$0.84M). A second version divides segment revenue including MRE Contract revenue by modules (\$2.96M for Q2 2026). All are upper bounds, because the numerator includes whole engines, parts, used material, V2500 activity and the fair value of returned cores while the denominator counts only CFM56 modules, and because modules produced are not modules sold. [D5 §2.10–2.11; D7 §5.2; reconciliation R-046; E.1 rule 11]

WORKED EXAMPLE 7.10 — REVENUE AND ADJUSTED EBITDA PER MODULE ON BOTH NUMERATORS, AND THE GUIDANCE SPREAD OVER THE 2026 TARGETS

Inputs: Aerospace products revenue of \$1,600.5M (FY2025), \$522.6M (Q1 2026) and \$692.2M (Q2 2026, derived as 1,214.8 – 522.6) (sourced: 10-K and 10-Qs); segment revenue including MRE Contract revenue of \$1,936.2M, \$743.8M and \$875.0M (sourced); segment Adjusted EBITDA of \$671.3M, \$222.6M and \$249.7M (sourced); modules produced of 757, 270 (derived) and 296

(sourced); 2026 segment Adjusted EBITDA guidance of \$1,050M (sourced: Feb 2026 release, reaffirmed Jul 2026); 2026 module targets of 1,050 (sourced) and 1,200 (call coverage).

products revenue per module:
 FY2025: $1,600.5 \div 757 = \$2.11\text{M}$
 Q1 2026: $522.6 \div 270 = \$1.94\text{M}$
 Q2 2026: $692.2 \div 296 = \$2.34\text{M}$
 segment revenue (incl. MRE) per module:
 FY2025: $1,936.2 \div 757 = \$2.56\text{M}$
 Q1 2026: $743.8 \div 270 = \$2.75\text{M}$
 Q2 2026: $875.0 \div 296 = \$2.96\text{M}$ (D7's ceiling figure)
 segment Adjusted EBITDA per module:
 FY2025: $671.3 \div 757 = \$0.887\text{M}$
 Q1 2026: $222.6 \div 270 = \$0.824\text{M}$
 Q2 2026: $249.7 \div 296 = \$0.844\text{M}$
 2026 guidance spread over the targets:
 $1,050 \div 1,050 = \$1.00\text{M}$ of Adjusted EBITDA per module
 $1,050 \div 1,200 = \$0.875\text{M}$ per module

Reading the lines. The first block says that for every CFM56 module FTAI produced, the segment booked about \$2M of product revenue; the second, that including the related-party line the figure is \$2.6M to \$3.0M; the third, that the segment earned about \$0.8M to \$0.9M of Adjusted EBITDA per module produced. The fourth block says that if the 2026 guidance were earned only on modules, it would be about \$1.0M per module on the filed target or \$0.875M on the figure reported from the July call, against \$0.84M to \$0.89M realised; it is a scale check, not a forecast, because the guidance covers engines, parts and the related-party line as well. One dossier's maintenance-stream example assumes \$1.0–2.0M of revenue per module and treats \$2.96M as the ceiling; this Part replaces the assumption with the derived figures above and their limits, as that dossier asked. [D7 §5.2; E.1 rule 36]

The five limits, each of which can move the result by a large fraction. First, the numerator includes whole-engine sales, spare-parts sales, used-material sales and V2500 activity, while the denominator counts only CFM56 modules; revenue per module is overstated by an unknown amount. Second, modules produced in a quarter are not modules sold in it: a produced module may sit in inventory, go into an FTAI-owned leasing engine, or be built into a Mod-1 generator set (Part IX). Third, segment Adjusted EBITDA includes the profit on MRE Contract revenue before the equity-method elimination and FTAI's share of the Rome and Bristol ventures, none of which is a module sale; EBITDA per module is overstated too. Fourth, exchange revenue includes the fair value of cores received, which is not cash (§47.2). Fifth, module mix is not disclosed, and a core module is worth multiples of a fan module. A unit economics of the module would need the disaggregation the research recorded as its first open question (D5 U2). [D5 §2.11; reconciliation R-046]

The per-module figures also bear on the maintenance stream the Strategic Capital vehicles generate, which Part VIII §66 works: 300 aircraft carry 600 engines, and the number of engine events a year, the modules per event and the revenue per module decide how much of the

segment's revenue those vehicles can supply. The first of those inputs comes from Part I §6 (a mature restoration interval of 10,000 to 15,000 cycles at 1,000 to 1,500 cycles a year, or a rule of thumb of one visit roughly every eight years), the second is undisclosed, and the third is bounded above by the figures here. [D7 §5.2; reconciliation R-008, R-046]

57. Guidance: 2026 and 2027

FTAI guides in Adjusted EBITDA by segment. This section gives the path of the segment's guidance with the date and source of each step, the 2027 figure, and management's statements on margin, and works what the guidance implies for the second half of 2026. Part X §84 carries the company-wide guidance history and Part VIII the Leasing segment's.

EXHIBIT 7.18 — AEROSPACE PRODUCTS ADJUSTED EBITDA GUIDANCE AND OUTCOMES, BY DATE SET

Date set	For	Aerospace Products figure	Within total segment guidance of	Outcome or later change	Source
30 Dec 2024	2025	\$600–650M	\$1.1–1.15B (Leasing ~\$500M)	Actual \$671.3M, above the range	FTAI release, 30 Dec 2024 (via D7 §4.3); 10-K FY2025
30 Dec 2024	2025 modules	"an average of 100 modules per quarter produced at the Company's Montreal facility" (≈400)	n/a	Actual 757, all sites	FTAI release, 30 Dec 2024
Dec 2024 / early 2025	2026	not split	\$1.4B	Raised	Orchestrator notes (R-049 resolution)
27 Oct 2025 (per the notes; undated in D5 and D6)	2026	\$1.0B	\$1.525B (Leasing \$525M)	Raised	FTAI Q3 2025 release via Q1 2026 10-Q comparison; D5 T4; D6 [S2]; orchestrator notes
25 Feb 2026	2026	\$1.05B	\$1.625B (Leasing \$575M)	Aerospace reaffirmed Jul 2026	FTAI Q4/FY2025 release, 25 Feb 2026

Date set	For	Aerospace Products figure	Within total segment guidance of	Outcome or later change	Source
25 Feb 2026	2026 modules	1,050 (+39% on 757)	n/a	Raised to 1,200 on the Jul 2026 call, per call coverage	FTAI release and call, 26 Feb 2026; GuruFocus, MarketBeat, Nasdaq.com, 30 Jul 2026
26 Feb 2026 (call)	2026 margin	"can approach 40%" via the PMA blade, USM and the CFM materials agreement	n/a	1H 2026 realised $\approx$ 29.2% (derived)	MarketBeat, Motley Fool
29 Jul 2026	2026	\$1.05B reaffirmed	\$1.525B (Leasing cut from \$575M to \$475M "reflecting its continued shift to an asset-light business model")	n/a	FTAI Q2 2026 release, 29 Jul 2026
29 Jul 2026	2027	\$1.4B	\$2.3B (FTAI Power \$450M; Leasing \$450M)	n/a	FTAI Q2 2026 release, 29 Jul 2026

Source: FTAI Aviation / GlobeNewswire, 30 Dec 2024, 27 Oct 2025, 25 Feb 2026 and 29 Jul 2026 releases; Q2 2026 earnings release 8-K exhibit, <https://www.sec.gov/Archives/edgar/data/1590364/000162828026050622/ftai6302026earningsrelease.htm> ; MarketBeat and Motley Fool, Q4 2025 call coverage, 26 Feb 2026; GuruFocus, MarketBeat and Nasdaq.com, Q2 2026 call coverage, 30 Jul 2026; orchestrator notes (R-049 resolution). The Leasing cut is as read by D5 and D10; D6 records a second search reading of the 29 Jul 2026 8-K exhibit that returned \$575M (reconciliation R-049). The Power 2027 figure is \$450M in the release text; one call summary gives "\$450–750M" (R-062). Reconciliation R-036, R-049, R-050. Accessed 2026-10-03.

The 2026 guidance for the segment has stood at \$1,050M since February 2026 and was reaffirmed in July, while the company-wide total moved because the Leasing figure was cut. [FTAI releases, 25 Feb 2026 and 29 Jul 2026] The step before February, to \$1.0B for Aerospace Products within \$1.525B, appears undated in two dossiers and is dated 27 October 2025 in the orchestrator's later resolution; the primer carries the date with that provenance. [D5 T4; D6 [S2]; orchestrator notes; reconciliation R-050] The 2027 figure of \$1.4B is a third again above the 2026 figure and is given in the release text; the Power and Leasing figures beside it are each \$450M in the release, with one call summary giving a range for Power. [FTAI release, 29 Jul 2026; reconciliation R-062; E.1 rule 30] No guidance item specific to the Strategic Capital vehicles' share of the segment's revenue was located. [D7 U9]

Management's statements on margin are three. The segment ran "\$195 million at a 35% margin" in the fourth quarter of 2025. [MarketBeat, 26 Feb 2026] The company said on the same call that it "can approach 40% aerospace margins in 2026 via parts approvals, lower-cost supply and expanded repair capabilities", naming the PMA high-pressure-turbine blade, used material and the CFM materials agreement (§52). [MarketBeat, 26 Feb 2026; Motley Fool, 26 Feb 2026] And the first half of 2026 was reported at \$472.3M of Adjusted EBITDA on \$1,618.8M of segment revenue, about 29.2%, both derived from the two quarters' filed figures (§53.3). [FTAI releases, 29 Apr 2026 and 29 Jul 2026; D5 §4.1] The primer records the statement and the outturn to date and does not forecast.

WORKED EXAMPLE 7.11 — WHAT THE 2026 GUIDANCE IMPLIES FOR THE SECOND HALF, AND THE 2027 STEP

Inputs: 2026 Aerospace Products Adjusted EBITDA guidance of \$1,050M (sourced: 25 Feb 2026 release, reaffirmed 29 Jul 2026); 1H 2026 segment Adjusted EBITDA of \$472.3M, being \$222.6M plus \$249.7M (sourced); Q2 2026 segment revenue of \$875.0M and margin 28.5% (sourced and derived); 2027 guidance of \$1.4B (sourced); FY2025 actual \$671.3M (sourced).

second half of 2026 implied = $1,050 - 472.3 = \$577.7\text{M}$, or $\$288.9\text{M}$ a quarter

against Q2 2026 actual of \$249.7M: $+15.7\%$ a quarter

2026 guidance on 2025 actual: $1,050 \div 671.3 = +56\%$

2027 guidance on 2026 guidance: $1,400 \div 1,050 = +33\%$

revenue needed for \$288.9M a quarter at the Q2 2026 margin of 28.5%:

$288.9 \div 0.285 = \$1,014\text{M}$ a quarter

revenue needed at 35% (the Q4 2025 margin): $288.9 \div 0.35 = \$825\text{M}$ a quarter

revenue needed at 40% (the aspiration): $288.9 \div 0.40 = \$722\text{M}$ a quarter

So the reaffirmed guidance requires second-half quarters about 16% above the second quarter's Adjusted EBITDA; at the second quarter's margin that is about \$1.0B of quarterly segment revenue, and at the margins management has reported or aspired to it is \$0.72B to \$0.83B against \$0.875B realised in the second quarter. The lines show the arithmetic relationship between revenue and margin that the guidance implies; they do not say which combination the company expects, and the company has not said. Limits of the example: the 2027 figure has no quarterly path; the margin lines mix a derived half-year figure, a stated quarter and an aspiration; and the guidance covers engines, parts and the related-party line as well as modules. [FTAI releases, 25 Feb 2026 and 29 Jul 2026; D5 §2.8, §4.1, §4.2; MarketBeat, 26 Feb 2026]

Tensions carried in this Part

Id	The two (or more) figures	Where in this Part
R-001	CFM56 in service: ~23,000 (CFM); ~24,000 (Aviation Business News, Sept 2025); >22,800 (Safran); "over 20,000" -5B/-7B (Chromalloy, Oct 2025)	§45.3
R-006	CFM56 shop visits a year: 2,300–2,400 in 2026–28 (GE via Aviation Week, 2026) against ~2,500 peak 2025–26 (Safran via Aviation Week, c. 2023/24)	§49.3, Exhibit 7.7, worked example 7.6
R-008	Restoration interval: 10,000–15,000 cycles (Leeham) against "every eight years" (Aviation Week) and one in six years assumed (D7)	§56
R-009	V2500 shop visits 2025: "slightly more than 800" (RTX CFO via Aviation Week, 2026) against ~1,400 forecast (Aviation Week data tool, 2023)	§51, Exhibit 7.9
R-010	V2500 in service: 5,286 (Aviation Week, 2023) against ">13,000" (low-grade vendor page, 2026)	§51, Exhibit 7.9
R-013	Restoration cost: \$1.2–1.6M and \$1.8–2.5M; heavy with LLPs \$2.1–2.8M and ">\$3.5M" (all Safe Fly, consultancy blog)	§52 worked example 7.7; §55, Exhibit 7.17, worked example 7.9
R-015	HPT blade set \$1.6M or \$3.08M (per-blade × 80, unverified) against \$0.2–0.6M implied by a 15–25% share	§52 worked example 7.7
R-016, R-017	Full -7B LLP set \$4M (2019) or \$5.7M (2025); \$200 or \$285 a cycle	§47.1; §55 step 4
R-019	Turnaround: 90–120 days (trade press); ~90 (GE, May 2026); PR 75–90 (Safe Fly); slot wait +2–3 months, up to 6 (Bain)	§46.1, §46.4, Exhibit 7.3; §55
R-022	USM at 60–80% of new, up to 85% (Aviation Week) against 70–75% of list, trader to airline (Aircraft Commerce)	§52, Exhibit 7.10
R-025	Chromalloy CFM56-5B/7B PMA roster: three announced approvals (D4) against four parts offered (D5)	§52.2
R-026	FTAI–Chromalloy: "a joint venture" (10-K) against "exclusive perpetual partnership, parts at cost" (blogs); Advanced Engine Repair JV (25%, \$22.4M) identity unknown	§52.2
R-027	PMA saving: "up to \$2M per shop visit" (blogs) against FTAI's only quantified lever, \$75,000 (Bristol)	§52 worked example 7.7
R-028	-7B spare rent ~\$100,000/month (IBA, Apr 2024) against \$42,000–48,000 (Safe Fly, 2026, may be green-time)	§55, Exhibit 7.17, worked example 7.9

Id	The two (or more) figures	Where in this Part
R-035	Module count: four major modules (Part I) against FTAI's three per engine ("450 modules (150 engines)") and D5's "four to five"	§49.2–49.3, worked examples 7.5 and 7.6
R-036	2026 module target: 1,050 (Feb 2026 release) against 1,200 (call coverage of the Jul 2026 call)	§49.1, Exhibit 7.5, worked example 7.4; §57
R-037	Capacity: 300 shop visits (10-K, 2022 language); 1,350 modules (Sep 2024); 1,800 modules / 600 engines (Feb 2025); 3,000 modules (call coverage, Jul 2026)	§49.2, Exhibit 7.6, worked example 7.5
R-038	Montréal: ~500,000 sq ft (10-K) against 526,000 (release)	§50.1, Exhibit 7.8
R-039	Montréal acquisition: "2023" (stale chain-map entry) against closing 9 Sep 2024, \$170.0M (release)	§50.1
R-040	"Rome NY" (chain map) against Rome Fiumicino, Italy (10-K; 5 Jun 2025 release)	§50.3
R-041	Lisbon: "planned 113,000 sq ft, 300+ modules" (chain map, call coverage) against 100%-owned and "still ramping" (10-K; Jul 2026 call)	§50.4, Exhibit 7.8
R-042	Share: ~5% of a \$22B market (release, Feb 2025); 25% of CFM56 shop visits (call, Jul 2026); ~17% of a 2,350-visit year at 1,200 modules (D2 derived)	§49.3, Exhibit 7.7
R-043	Segment revenue = products + MRE (\$1,936.2M = \$1,600.5M + \$335.8M), agreed by three documents; explicit segment-note mapping not retrieved	§48.3, Exhibit 7.4
R-044	MRE Contract revenue: "stand-ready obligations" (Q3 2025 10-Q) against "transaction price for sales of ... engines and related modules" (Q2 2026 10-Q)	§48.2
R-045	Cost of sales FY2025: \$1,240,368K (segment, per the orchestrator's reading; scope unconfirmed in D5) against \$1,349,719K (consolidated)	§53.4, Exhibit 7.13, worked example 7.8
R-046	Revenue per module: \$2.11M / \$1.94M / \$2.34M on products revenue (D5) against \$2.96M on segment revenue incl. MRE (D7)	§56, worked example 7.10
R-047	Profit elimination: \$16.6M in 1H 2026 implies ~\$87M gross profit if proportional to 19%, or \$16.6M if fully deferred	§48.4, worked example 7.3
R-048	Stake in the 2025 Partnership: 19% (10-K; 2026 10-Qs) against 20% (Q3 2025 10-Q)	§48.1, worked example 7.3

Id	The two (or more) figures	Where in this Part
R-049	2026 Leasing guidance: \$575M (25 Feb 2026) → \$475M (29 Jul 2026, as read by D5 and D10) against a second reading of the same release returning \$575M (D6)	§57, Exhibit 7.18
R-050	2026 guidance step to \$1.525B (\$1.0B Aerospace Products, \$525M Aviation Leasing): undated (D5, D6) against 27 Oct 2025 (orchestrator notes)	§57, Exhibit 7.18
R-057	Aircraft sales to the Partnership "non-recurring" (ASC 610-20) while MRE sales to the same buyer are ordinary revenue (ASC 606)	§48.4
R-062	2027 FTAI Power Adjusted EBITDA: \$450M (release) against "\$450–750M" (one call summary)	§57, Exhibit 7.18
R-063	The review: "review ... independent advisors" (8-K) against "internal investigation ... outside counsel and forensic accountants ... all without merit" (10-Q, 10-K); conclusion dated only by trade coverage	§54.2, Exhibit 7.16
R-064	The allegations as Benzinga, a fund letter, the complaint and the chain map each summarise them; the report not read	§54.1, Exhibit 7.15
R-065	Headcount: 985 employees and contractors; 494 full-time in Canada (mixed bases); "7,800" is StandardAero's	§50.8
R-066	Auditor: Ernst & Young "2016–2025" and KPMG engaged for FY2025 from 17 Jun 2025; which firm signed the FY2025 report not confirmed	§54.4
R-067	CFO: Nicholas McAleese (call coverage; 6 Mar 2026 release) against Eun (Angela) Nam as a named executive officer in the proxy	§54.4

Unknowns carried in this Part

- **U-D5-01 (D5): U1 — Revenue-recognition text for exchanges.** The 10-K's exact policy for exchange transactions (how the core is valued, whether exchange fees are separately quantified). Resolves with the 10-K revenue note [S1].
- **U-D5-02 (D5): U2 — Disaggregation of "Aerospace products revenue."** Engines vs modules vs parts vs repairs for 2023, 2024, 2025 and each 2025–2026 quarter; margin by line; whether disclosure changed after the February 2025 review. Resolves with the 10-K and 10-Q revenue notes [S1–S3] or with the Q2 2026 release [S5].

- **U-D5-03 (D5): U3 — Exchange turnaround time and exchange pricing.** FTAI's quoted turnaround and any published exchange-fee ranges. Trade press (e.g., the In Practise interview [S38]) likely has estimates; not read. (Cluster K-01 with U-D2-07 and U-D3-20.)
- **U-D5-04 (D5): U4 — Module counts for 2022, 2023, 2024 and Q1/Q3 2025.** Only Q4 2024 (≈ 136) is derivable. Resolves with the Q4 2024 release [S43], the Q1 2025 release [S42], the Q3 2025 release [S11] and the FY2023 release.
- **U-D5-05 (D5): U5 — Denominator of the 25% share goal** and the year by which it is targeted.
- **U-D5-06 (D5): U6 — Engine sales counts; V2500 shop visits completed; current V2500 fleet vs 200 target; whether any V2500 module work is done in-house.**
- **U-D5-07 (D5): U7 — Facility deal terms.** LMCES purchase price; QuickTurn Miami date and price; what and where "Orange" is and when acquired; Lisbon's size, capacity and opening date (chain map: 113,000 sq ft, 300+ modules/yr); verification of Rome at \$10.5M for 50%. Resolved in part by the orchestrator notes (D.3): LMCES 9 Sep 2024, \$170.0M, 526,000 sq ft; QuickTurn Miami 4 Jan 2023 with Unical, remaining interest \$30.3M on 1 Dec 2023; Rome \$10.5M for 50%, closed 5 Jun 2025, 200,000 sq ft. Orange and Lisbon still open.
- **U-D5-08 (D5): U8 — GMF AeroAsia and EgyptAir terms** (capacity committed, economics, duration).
- **U-D5-09 (D5): U9 — Test-cell count; employees by site and in total.** Resolved in part (D.3): 985 full-time employees and independent contractors at 31 Dec 2025; 494 full-time employees in Canada, $\sim 71\%$ under collective bargaining agreements; test capacity >500 (Sep 2024) and >600 (Feb 2025) engine tests a year. By-site counts and test-cell count still open.
- **U-D5-10 (D5): U10 — Whether Rome's modules are counted in FTAI's module totals,** given equity-method accounting.
- **U-D5-11 (D5): U11 — Chromalloy JV contribution in FTAI's numbers:** equity-method earnings line, PMA share of parts, FTAI-stated savings per module. (Cluster K-04 with U-D4-03; the Advanced Engine Repair JV figures apply only if it is the same entity.)
- **U-D5-12 (D5): U12 — Inventory at 31 Dec 2025 and 30 Jun 2026; segment capex; the cost of building module inventory.** (Cluster K-18 with U-D10-02.)
- **U-D5-13 (D5): U13 — Muddy Waters' own wording** on expense classification, channel stuffing and the "other red flags". Resolved in part (D.3): the complaint's allegations as summarised on law-firm pages; the report's own wording still open.
- **U-D5-14 (D5): U14 — Exact FY2024 10-K filing date** (accession 0001590364-25-000006; company says timely).
- **U-D5-15 (D5): U15 — Subject of the 27 Nov 2024 SEC correspondence** [S20].

- **U-D5-16 (D5): U16 — Securities litigation status** (court, docket, motion to dismiss outcome, any settlement). Resolved in part (D.3): S.D.N.Y. No. 25-cv-00541, Judge Jeannette A. Vargas; class period 23 Jul 2024 to 21 Jan 2025; motion to dismiss the amended complaint filed 20 Nov 2025, fully briefed and pending (law-firm pages; last-update date not visible). Outcome still open. (Cluster K-11 with U-D10-16.)
- **U-D5-17 (D5): U17 — Named customers, long-term agreements, customer concentration** (any customer $\geq 10\%$ of revenue), and whether SCI-vehicle revenue is disclosed as related-party. Resolved in part (D.3): MRE Contract revenue to the 2025 Partnership \$182.8M (Q2 2026) vs \$69.6M; \$404.0M (1H 2026) vs \$170.2M; FY2025 \$335,788K; two Aerospace Products customers at 16% and 11% of revenue in Q3 2025. Names and annual concentration still open.
- **U-D5-18 (D5): U18 — Terms of the CFM materials agreement** mentioned on the Q4 2025 call. (Cluster K-19 with U-D4-14.)
- **U-D5-19 (D5): U19 — FY2023 segment revenue and Adjusted EBITDA**, and the FY2022 baseline (the segment began ramping in 2022–2023 per the 10-Q language [S10 summary]). Resolved in part (D.3): FY2025 10-K segment table, Aerospace products revenue 454,970 (2023), Adjusted EBITDA 160,009 (2023); FY2022 10-K, 85,113 and 27,377 (2022); 2021 figures flagged as a probable extraction artefact. (Cluster K-17.)
- **U-D1-14 (D1): U14** Whether a module exchange requires a test-cell run under the CFM56 ESM.
- **U-D1-13 (D1): U13** V2500 module list and current per-visit cost (2010 figures only) [38].
- **U-D2-05 (D2): U5. Capacity of the named airline MROs.** AFI KLM E&M, Delta TechOps, Turkish Technic, GMF AeroAsia, EgyptAir M&E, GA Telesis, Lufthansa Technik and ST Engineering: no CFM56 inductions- per-year or expansion figures returned. Resolve via each company's annual report or trade-press shop profiles.
- **U-D2-07 (D2): U7. Module-exchange pricing.** No source gives the exchange fee or a worked price for a CFM56 HPT or core exchange; Safe Fly's "\$150,000–\$400,000 removal cost per module" is ambiguous. D5 may find it in FTAI's investor materials or the In Practise interview ("FTAI Aviation: CFM56 repair and module swap", URL returned, not read).
- **U-D3-14 (D3): U14 — Unical Aviation:** nothing returned. Resolved in part (D.3): Unical was FTAI's JV partner in QuickTurn Miami; Unical's own USM scale still open.
- **U-D3-20 (D3): U20 — Pricing of a module exchange** (exchange fee, LLP-life true-up) from any provider, including FTAI. D5 may hold FTAI's own disclosures.
- **U-D4-01 (D4): U1 — Current lessor return-condition practice (2024–2026).** All lessor statements found are 2009–2016. Resolve with recent lessor 10-K/20-F lease descriptions (AerCap, Air Lease, Willis Lease), ISTAT or IBA surveys, or lessor conference remarks.

- **U-D4-02 (D4): U2 — PMA price discount for the Chromalloy HPT blade and vane** (and HEICO's typical discount). Resolve with Chromalloy/FTAI pricing disclosure or MRO price catalogues (the SR Technics 2026 CFM56-7B catalogue may list PMA options [71]).
- **U-D4-03 (D4): U3 — FTAI–Chromalloy JV terms:** formation date, ownership split, accounting (consolidated vs equity method), exclusivity, "at cost" pricing, revenue recognized. Resolve by reading FTAI's FY2018–FY2025 10-Ks for the JV footnote and any 8-K. Resolved in part and conditionally (D.3): Advanced Engine Repair JV 25%, \$15.0M Dec 2016 and \$13.5M Aug 2019, carrying value \$22,429K at 31 Dec 2025, if the same entity; the notes say this is unknown.
- **U-D4-07 (D4): U7 — Any PMA for CFM56 life-limited rotating parts.** None found.
- **U-D4-14 (D4): U14 — Terms of the FTAI–CFM Jan 2026 materials agreement** (duration, volumes, pricing, whether it restricts FTAI's PMA use).
- **U-D7-06 (D7): U6 — MRE revenue from the vehicles.** Dollar revenue and counts of engine and module exchanges to the 2025 Partnership; expected annual volume for 300+ aircraft. Only eliminations located [S12, S13]. Resolved in part (D.3): Q2 2026 \$182.8M (vs \$69.6M); 1H 2026 \$404.0M (vs \$170.2M); definition "the transaction price for sales of CFM56-5B, CFM56-7B and V2500 engines and related modules to the SPVs of the first SCI partnership". Counts of exchanges still open.
- **U-D7-09 (D7): U9 — Guidance.** Any 2025 or 2026 guidance item specific to SCI (fees, gains, MRE volume) and the corresponding actuals. Only total and Aerospace Products figures located [S1, S6].
- **U-D10-01 (D10): U-1 — Full income statement 2021–2025 and 1H 2025 / 1H 2026.** Operating expense lines, depreciation and amortization, interest expense, tax, net income attributable to shareholders by year; annual Adjusted EBITDA, its definition and reconciliation items; segment revenue and Adjusted EBITDA by year; 1H totals. Resolve with the FY2025 10-K Item 8 and Item 7 segment tables [S1], the Q4/FY2025 release [S3], the Q2 2026 release [S4] and the Q2 2025 release [S25]. Also the FY2021 10-K [S15] and FY2022 annual report (EDGAR index) for 2021–2022. Resolved in part (D.3): the FY2025 10-K segment table for 2023–2025 and FY2025 expense lines; the FY2022 10-K segment figures for 2022; see Exhibit 7.11.
- **U-D10-02 (D10): U-2 — Cash flow detail.** Acquisition of leasing equipment, acquisition of property, plant and equipment, proceeds from asset sales, working-capital changes (inventory), and whether the company defines free cash flow. Resolve with the cash flow statement in [S1] and [S2].
- **U-D10-11 (D10): U-11 — Early asset mix and the shift to aviation.** Figures for Jefferson Terminal, Repauno, Transtar and Long Ridge; dates and prices of QuickTurn, the

Chromalloy JV and the Lockheed Martin Commercial Engine Solutions acquisition. Resolve with the FY2021 10-K [S15], the FY2022 annual report and the relevant 8-Ks. Resolved in part (D.3) as for U-D5-07.

- **U-D10-16 (D10): U-16 — Legal proceedings, auditor and internal control.** Status of the securities class actions filed after the Jan 2025 report and any derivative suits; the auditor's name (recollection, unverified: Ernst & Young LLP); whether any material weakness was disclosed; the content of the Jan 2025 EDGAR correspondence [S12 folder] and the later 2025 8-K [S25]. Resolve with Item 3, Item 9A and the auditor's report in [S1]. Resolved in part (D.3): litigation status as for U-D5-16; auditor line "Ernst & Young LLP 2016-2025; Audit Committee engaged KPMG LLP for FY2025 effective 17 Jun 2025; auditor's report dated 27 Feb 2026" with the ambiguity in R-066; internal-control conclusion still open.
- **U-D10-17 (D10): U-17 — Employees and locations.** Headcount at 31 Dec 2025, by geography; properties list (New York headquarters, Montreal, Miami, Rome NY, Lisbon). Resolve with Item 1 "Human Capital" and Item 2 of [S1]. Resolved in part (D.3) as for U-D5-09; properties list still open; "Rome NY" is the chain-map error recorded in R-040.

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